Jupiter General Insurance Co v Kasanda Cotton Co

[1966] 1 EA 252 (CAK)

Division: Court of Appeal at Kampala
Date of judgment: 22 April 1966
Case Number: 42/1965
Before:Sir Clement de Lestang VP, Spry and Law JJA
Sourced by: LawAfrica
Appeal from: The High Court of Uganda – Sir Udo Udoma, C.J.

Insurance – Liability insurance for cash in transit – **Oral contract on usual terms** – Policy issued after period of cover because premium based on actual amount carried – Letter from insurer's agent to insured confirming cover – **Claim by insured that contract of insurance oral and unconditional – Whether usual terms and conditions binding**.

Editor's Summary

The respondent claimed indemnity under an oral contract of insurance with the appellant for loss of cash in transit during the 1962/63 cotton season of Shs. 64,273/79. In doing so it relied on a copy of a letter received from Oriental Agencies Ltd., agent of the appellant, informing the latter that they had covered the respondent against loss of cash in transit. The appellant admitted a contract of insurance but asserted that the contract was a written one, certain terms of which excluded liability, such as on the failure of the parties to refer a dispute to arbitration. Since the premium was based on the actual amount of cash carried during the period of cover and could not be calculated until that amount was known, it was a practice of the respondent not to issue a policy until after the expiration of the period of cover. For this reason no policy relating to the 1962/63 season had been delivered to the respondent company at the time of the alleged loss. It was the case for the appellant that it had issued and delivered policies annually to the respondent since the cotton buying season 1958/59 and that these policies contained common form conditions; that the respondent knew those conditions or, in the alternative, had agreed to accept the usual conditions, and that the appellant had delivered a policy relating to the previous 1961/62 season on or about August 1, 1962. At the trial a preliminary issue was framed on whether the contract between the parties was oral or written. The learned Chief Justice found that a letter had been sent by the appellant's agent informing the respondent that the latter had been covered against loss of cash in transit for the 1962/63 season but that no policy had been delivered relating to the previous season of 1961/62, and further went on to hold that the contract of insurance was an oral one and that the appellant had accepted unconditionally to cover the respondent's cash in transit. He further held that neither party was reasonably bound or entitled to conclude from the attitude of the other that written terms and conditions were intended. The appellant thereupon appealed and it was submitted that if an oral contract had been concluded, it must have been on the basis that a policy would in due course be issued on the usual terms and that those terms were therefore to be regarded as embodied in the oral agreement, or alternatively, there was no contract because the appellant's agent lacked authority to enter into an unconditional contract or because there was no consensus ad idem. On the other hand, it was argued on behalf of the respondent that the onus was on the appellant to show that the respondent knew the conditions of the policy and that, as they had failed to do so, the learned Chief Justice was correct in holding that the contract must be regarded as providing cover without conditions.

Held –

(i) there was consensus ad idem for an oral contract of insurance between the parties on the terms and conditions usual to contracts for insurance of cash in transit, which was in due course to be embodied in the usual form of policy;

(ii) it could not possibly be said that the terms of the contract were contained in the letter from Oriental Agencies Ltd. to the appellant, a copy of which was sent to the respondent;

(iii) where a person has contracted for insurance on usual terms and conditions, it could not be said that he was not bound by any such terms and conditions until they have been made known to him; Re Coleman's Depositories Ltd. and the Life and Health Assurance Association, [1907] 2 K.B. 798.

Appeal allowed. Proceedings remitted to the High Court to proceed with the hearing on that basis.

Cases referred to in judgment:

(1) McCutcheon v. David MacBrayne Ltd., [1964] 1 All E.R. 430.

(2) Re Coleman's Depositories Ltd., and the Life and Health Assurance Association, [1907] 2 K.B. 798.

The following judgments were read.

Judgment

Spry JA: This is an appeal from a judgment and preliminary decree of the High Court of Uganda. The respondent company (to which I shall refer as "Kasanda Cotton") claimed to have been insured under a verbal contract by the appellant company (to which I shall refer as "Jupiter General") against loss of cash in transit. It alleged a loss, covered by the contract, of Shs. 64,273/79 and claimed the right to be indemnified against that loss. Jupiter General denied liability: it admitted a contract of insurance but asserted that the contract was a written one, certain terms of which excluded liability in the particular circumstances. There was also a general denial that any loss had been sustained and the specific amount claimed was also challenged.

One of the terms of the alleged written contract was that any dispute between the parties should be referred to arbitration and accordingly when the suit came to trial a preliminary issue was framed, whether the contract between the parties was an oral or a written one. After hearing evidence and argument, which went considerably beyond the issue as framed, the learned Chief Justice held that the Jupiter General

"had accepted unconditionally to cover the plaintiff company's cash-in-transit and did in fact cover the said cash-in-transit unconditionally at the time. The contract of insurance was therefore an oral one."

A preliminary decree was extracted which merely provided that

"the said contract of insurance was an oral one."

It is against that judgment and preliminary decree that the present appeal is brought.

The case for Jupiter General was that it had issued policies annually since the cotton buying season 1958/59 to Kasanda Cotton covering cash in transit and had delivered them to the company and that these policies contained common form conditions. From this it was claimed that during the period with which we are concerned, that is to say the 1962/63 season, Kasanda Cotton, while not in possession of a current policy, knew the conditions of the insurance or, in the alternative, had agreed to accept the usual conditions. The only issue of fact was whether or not a policy or policies had been delivered to Kasanda Cotton.

It may be remarked at this point that Jupiter General follow what seems a most peculiar practice in relation to policies insuring cash in transit. Because the premium is based on the actual amount of cash carried during the period of cover and therefore cannot be calculated until that amount is known, no policy is issued until after the expiration of the period of cover.

It was not in dispute that, as a result of this practice, no policy relating to the 1962/3 season had been delivered to Kasanda Cotton at the time of the alleged loss, but it was sought to be proved that a policy relating to the 1961/2 season had been delivered on or about August 1, 1962. On this question, there was a direct conflict of evidence. The learned Chief Justice found as fact that the policy had not been delivered to Kasanda Cotton. It was one of the grounds of appeal that in making this finding, the learned Chief Justice overlooked the evidence of an insurance assessor who testified that when he called at the Kampala office of Kasanda Cotton, the accountant to the company "asked me whether I would like to see the previous policy covering cash in transit."

It was submitted by counsel for Jupiter General, that this remark raised an irresistible inference that there was a policy in the possession of Kasanda Cotton. With respect, I cannot agree. The accountant may well have believed or assumed that there was a policy but his enquiry can have but little evidential weight in determining the question whether, as a matter of fact, there was a policy in the company's possession, particularly since the company's insurance business appears to have been handled by one of the directors. The only direct evidence on this question was that of one Babulal Rambhai Dave, an employee of a company known as Oriental Agencies, Ltd. (to which I shall refer as "Oriental Agencies") which acted as agent for Jupiter General, who said that he had handed the 1961/2 policy to Raojibhai Ranchhodbhai Patel, a director of Kasanda Cotton. Raojibhai had earlier testified that no such document had ever been handed to him and he had not been cross-examined on that statement. The learned Chief Justice preferred the evidence of Raojibhai to that of Babulal and there is nothing in the record even to suggest that he was wrong in so doing.

No serious attempt was made to prove delivery to Kasanda Cotton of any policy insuring cash in transit for earlier years. Evidence was given by one Ambalal Maganlal Shah, a director of Oriental Agencies, of what he described as the usual practice in relation to the insurance of cash in transit, that after the amount of the premium had been ascertained, the information was sent to the Bombay office of Jupiter General, where a policy was prepared. It was then sent to Oriental Agencies in Kampala for signature. He went on:

"The usual practice with the Plaintiff Company was for us sometimes to send them the policies by messengers or they were handed over the policies in our office. I do not remember actually to whom the policy of the Plaintiff Company was given in any given year."

Jupiter General was unable to produce any receipt for any of these policies, or any evidence of posting, or any signature in a despatch book to substantiate this vague evidence. In my view, the learned Chief Justice was, in these circumstances, fully justified in holding that it had not been proved that any policy covering cash in transit had been delivered to Kasanda Cotton. I think, too, that he was entitled to conclude that the contract of insurance for the 1962/63 season was an oral one.

That would have been enough to dispose of the preliminary issue as framed but as I have said, the evidence and the argument went beyond that issue and covered the further issue whether such oral contract was subject to conditions or was an unconditional contract of indemnity. This was an appropriate preliminary issue, because if the terms and conditions of Jupiter General's usual policies were imported into the oral contract, the arbitration clause, as one of those conditions, would apply. The learned Chief Justice dealt with this issue, and decided that neither party was

"reasonably bound or entitled to conclude from the attitude of the other as known to it at the time that written terms and conditions were intended by the other party to form part of the contract."

He based this decision largely on the fact that Kasanda Cotton had each year received a copy of a letter sent by Oriental Agencies to Jupiter General, informing the latter that the former had covered Kasanda Cotton against loss of cash in transit, and on evidence by one of the directors of Kasanda Cotton that he had enquired about a policy and been informed by a director of Oriental Agencies that the letter was "as good as a policy".

This finding was challenged by counsel for the appellant on two main grounds. In the first place, he submitted that if an oral contract had been concluded, it must have been on the basis that a policy would in due course be issued on the usual terms and that those terms were therefore to be regarded as embodied in the oral agreement; in the alternative, he argued that there was no contract, either because Oriental Agencies lacked authority to enter into a contract or because there was no consensus ad idem.

On the first of these grounds, counsel argued that it was inconceivable that an insurance company should enter into a contract giving unconditional indemnity. He pointed out that this had not been in contemplation even on the part of Kasanda Cotton, because the director of that company who normally dealt with such matters had said in evidence that when he arranged the insurance, he expected to receive a policy containing the usual terms and conditions, a policy similar to those issued to other companies taking out this kind of cover. The witness had said that he did not know what those terms and conditions would be, but counsel argued that this was immaterial, as there is no reason in law why a person should not agree to be bound by conditions which have not been communicated to him and of the contents of which he is unaware. (In this connection, he submitted that certain dicta in McCutcheon v. David MacBrayne Ltd. (1), are unduly wide.)

Counsel for the respondent argued, on the other hand, that the underlying principle behind all the English cases (it appears that there is no East African authority on the subject) is that if a person is not aware of the terms of one or more conditions, he is not bound by them. He argued that the learned Chief Justice had, in effect, held that the letter a copy of which was sent by Oriental Agencies to Kasanda Cotton embodied the conditions of the contract and that, even though the director of Kasanda Cotton may originally have expected a policy containing conditions, the position was changed as soon as he was told that the letter was “as good as a policy”. He submitted that the onus was on Jupiter General to show that Kasanda Cotton knew the conditions of the policy and that, as they had failed to do so, the learned Chief Justice was correct in holding that the contract must be regarded as providing cover without conditions.

Counsel for the respondent relied largely on the English case of Re Coleman’s Depositories, Ltd. and The Life and Health Assurance Association (2), a case which the learned Chief Justice had said he found of assistance. That was a case where a policy of insurance against workmen’s compensation risks containing a condition that “immediate” notice be given of any happening giving rise to liability, was delivered to the insured after the occurrence of such a happening. Vaughan Williams, L.J., said that

“It could not have been in the contemplation of the parties that this condition as to immediate notice should apply until the contents of the policy had been communicated to the employer.”

As there was no evidence that the insured knew, or had the opportunity of knowing, the conditions of the policy, it was held that the condition as to immediate notice was not binding on him prior to its communication to him.

There has been, I think, some confusion of thought and a tendency to treat as one what are really two distinct questions: first, what was in fact the contract agreed between the parties and, secondly, whether any term of that contract is for any reason unenforceable. I do not, with respect, think that any of the cases cited to us has any bearing on the first of those questions, nor, indeed, is it likely that any other case would be of assistance in deciding what is essentially a matter of fact. On that question, there is evidence appearing on the record. As I have already said, a director of Kasanda Cotton, who negotiated the insurance, said quite frankly that he expected to receive a policy containing the conditions usual in respect of the particular risk. For Jupiter General, evidence was called which indicates that this was a risk which the company was accustomed to cover and for which it had a standard form of policy. It seems to me the irresistible conclusion that there was a consensus ad idem for a contract of insurance on the usual terms and conditions appropriate to the type of risk, which was, in due course, to be embodied in the usual form of policy.

I do not think it can possibly be said that the terms of the contract were contained in the letter from Oriental Agencies to Jupiter General, a copy of which was sent to Kasanda Cotton. As counsel for the appellant pointed out, the letter does not even refer to the amount of the premium or indicate the basis on which it was to be calculated.

Again, I do not think any significance is to be attached to the statement by a director of Oriental Agencies that the letter was "as good as" a policy. I do not consider that anything more is to be inferred from that remark than that Kasanda Cotton was in as good a position as if a policy had been issued. If that is the correct interpretation, the remark supports the case for Jupiter General, rather than that for Kasanda Cotton. I can see no justification for interpreting the remark as meaning that Kasanda Cotton was in an entirely different, and incidentally much more favourable, position than it would have been had it received a policy.

I think, therefore, with respect, that the learned Chief Justice erred in holding that neither party was "reasonably bound or entitled" to conclude that written terms were intended to form part of the contract.

It is not, of course, for this court at this stage to deal with the question whether any particular term or condition of the contract was binding on the parties in respect of the happening which gave rise to this suit, but it is necessary to deal with counsel for the respondent's submission that none of the terms and conditions could have applied. This submission was based on the Coleman's Depositories case (2). That decision is not binding on us, because the contract of insurance for the 1962/63 season was entered into before the coming into force on January 1, 1963, of the Contract Act, 1962, (No. 8 of 1962) and is therefore governed by the Indian

Contract Act, 1872, as formerly applied to Uganda, but it has persuasive value. In his judgment, Vaughan Williams, L.J., after the passage I have quoted above, continued

"I hold that, on the face of the award there is no evidence that the employer knew or had the opportunity of knowing, the conditions of the policy, and that the onus is on the association; and in my opinion the risk undertaken by the association for the period prior to the delivery of the policy did not impose upon the employer the obligation to give immediate notice of the accident to Corrin on January 2, 1905, prior to the receipt by the employer of the policy or of information of its containing such a condition or obligation. The only question in this case is the obligation of this condition as to immediate notice . . ."

Counsel for the respondent stressed the use in this passage of the word "conditions" and argued, if I understood him aright, that the use of the plural meant that none of the conditions were applicable to the risk and therefore that there was cover without conditions. He submitted that the position in the present case was the same.

With respect, I cannot accept that contention. The last sentence of the passage I have quoted seems to me to indicate clearly that the learned Lord Justice was expressly limiting his remarks to the one condition with which he was concerned. This is equally clear from the judgment of Buckley, L.J. In my view, no general principle is to be extracted from the Coleman's Depositories case (2), beyond the fact that a person will not be penalised for non-compliance with a condition as to the giving of notice of which he is not actually or constructively aware. As regards other conditions, such as conditions limiting the extent of the cover, I think very different considerations may apply. Be that as it may, I know of no authority for saying, and in the absence of authority I would not be prepared to hold, that where a person has contracted for insurance on usual terms and conditions, he is not bound by any such terms and conditions, until they have been made known to him.

It would, of course, not be proper for us to consider whether any particular term or condition of the contract between the parties is or is not enforceable or is or is not usual in such contracts, because these questions have not been argued or determined in the lower court. This includes the question whether or not the alleged arbitration clause applies.

I can, I think, deal briefly with the remaining grounds of appeal. I would reject counsel for the appellant's submission that Oriental Agencies, as the agent of Jupiter General, lacked authority to enter on behalf of its principal, into any contract of insurance except possibly one on standard terms and conditions: the powers of an agent are in the first instance a matter of fact and there was no evidence whatever to show the scope of and the limitations on the authority of Oriental Agencies. In the absence of any evidence showing that Oriental Agencies lacked express authority to make any particular kind of contract, no question of implied authority arises. Oriental Agencies was, unquestionably, the agent of Jupiter General; the former had for at least three years previously entered into similar contracts on behalf of the latter and those contracts had been ratified by the principal. It would be impossible for Jupiter General at this stage to deny the authority of its agent. Furthermore, this had not been pleaded, and I am by no means convinced that it was proper to argue it on appeal.

On the other hand, I would have been disposed to agree with counsel for the appellant's alternative argument, that there was no contract, for lack of consensus ad idem, if I were not convinced, as I have already said, that there was consensus ad idem for a contract on the usual terms and conditions. It would, in my view, be impossible, on the evidence, to hold that there had been consensus ad idem for an unconditional contract of indemnity.

For the reasons I have given, I would allow this appeal and set aside the judgment and preliminary decree of the High Court. I would substitute an order declaring, on the preliminary issue, that there was an oral contract of insurance between the parties, on the terms and conditions usual to contracts for insurance of cash in transit. I would remit the proceedings to the High Court to proceed with the hearing on that basis. I would award Jupiter General the costs of this appeal, with a certificate for two counsel. No order was made for costs in the High Court, and the costs in that court to date should, in my opinion, be costs in the cause.

Sir Clement de Lestang VP: I have had the advantage of reading the judgment of Spry, J.A. with which I agree. As Law, J.A., also agrees, there will be an order in the terms proposed.

Law JA: I also agree.

Appeal allowed. Proceedings remitted to the High Court to proceed with the hearing on that basis.

For the Appellant:

Wilkinson & Hunt, Kampala

P. J. Wilkinson, Q.C., and M. A. Patel

For the Respondent:

A. I. James and M. P. Vyas, Kampala

Marianne Ingrid Winther v Arbon Langrish and Southern Ltd

[1966] 1 EA 292 (HCK)

Division: High Court of Kenya at Nairobi
Date of judgment: 23 May 1966
Case Number: 735/1965
Before:Harris J
Sourced by: LawAfrica

Negligence – Duty of care – Instructions to renew insurance – Insurance not renewed by insurance broker – Possibility that instructions misunderstood – Insurance of a special type – Assured relying on broker's special skill and experience – Assured killed in accident – Claim for damages – Whether broken under a duty of care to renew insurance.

Insurance – Broker's duty of care – Instructions to renew insurances – Admitted liability personal accident policy – Insurance not renewed by broker – Possibility that instructions misunderstood – Insurance of a special type – Assured relying on broker's special skill and experience – Assured killed in accident – Claim for damages – Whether broker under a duty of care in renewing insurance.

Editor's Summary

The plaintiff was the widow and the administratrix of the will of W. who died in a flying accident on August 3, 1964, when piloting a jointly owned aircraft and claimed damages for the alleged neglect of the defendant, an insurance broker, to renew a policy of insurance which had it been renewed would have entitled the estate of W. to a sum of £2,000. The policy of insurance was an admitted liability personal accident policy and covered the period May 8, 1963 to May 7, 1964 and for such further periods as might be agreed. The policy was originally issued to "the Gordon Highlanders" and related to a Piper Tri-Pacer aircraft but by an addendum dated March 23, 1964 and, with the agreement of a group of underwriters in London, the name of the assured was changed to those of F. and W. the new joint owners. Under this policy the passengers of the aircraft, including the pilot were entitled to a sum of £2,000 in the event of death resulting from bodily injury. There was also in existence during this period another policy of insurance, the "hull policy", which was similarly acquired and which covered physical damage to the aircraft, liability to the public and to passengers but afforded no cover to the pilot. Both the policies were due to expire on May 7, 1964, and C, manager of the defendant wrote to F informing him of this and suggested a discussion of the policies prior to the renewal date. It was alleged that on May 4, 1964, the plaintiff called on C and gave him definite instructions to renew the policies. On May 5, C for the defendant, sent a cable to its London representatives with directions to renew the hull policy and said he would advise later as regards the admitted liability policy and subsequently on

May 11, suggested that the latter policy should be allowed to lapse. On June 3, 1964, C wrote to F informing him that the hull policy had been renewed for a further twelve months. On June 15, both F and W called on C to ascertain the cover afforded by the policies and was assured that all was in order and on July 8, F received a further letter with a debit note for additional premium but not indicating whether it related to both insurances or to only one of them. It was common ground that the business of an insurance broker in regard to effecting or renewing of an aircraft insurance with the underwriters in London or elsewhere was a specialized class of insurance business and further that the defendant was the owners' agent for transferring the two policies to themselves, for advising them upon the policies and for renewing the hull policy. It was contended on behalf of the plaintiff that if she had instructed C to renew the policy in question and the latter owing to a genuine misunderstanding did not appreciate and accept her instructions and, as a result failed to renew the policy, the defendant was answerable for a breach of the duty to take care which arose from the general relationship existing between the parties.

Held –

(i) the relationship of insurance broker and assured between the defendant and the owners gave rise to a duty of care on the part of the defendant independent of contract; Hedley Byrne and Co., Ltd. v. Heller and Partners, Ltd., applied;

(ii) in the circumstances of this particular case, the defendant had not sufficiently discharged the duty of care cast upon it and was answerable for the damage which resulted.

Judgment for the plaintiff.

[Editorial Note: In this case the court had found for the plaintiff on the main ground that there had been a breach of instructions to renew the admitted liability personal accident policy, but went on to discuss the alternative issue raised at the trial that in the special circumstances of this case there was a duty of care on the part of the defendant broker to renew the said policy. This case is only reported on the latter point.]

Cases referred to in judgment:

(1) Hedley Byrne & Co., Ltd. v. Heller & Partners, Ltd., [1964] A.C. 465; [1963] 2 All E.R. 575.

(2) Nocton v. Lord Ashburton, [1914] A.C. 932, 972.

(3) Woods v. Martins Bank, Ltd., [1959] 1 Q.B. 55; [1958] 3 All E.R. 166.

(4) Candler v. Crane, Christmas & Co., [1951] 2 K.B. 164; 1 All E.R. 426.

Judgment

Harris J: Although the decision at which I have arrived is sufficient to dispose of this case there is an alternative ground upon which the plaintiff claims that she is entitled to succeed and to which I should refer lest I be mistaken in my finding of fact that the defendant through Mr. Cowmeadow [its manager] accepted the plaintiff's instructions, given on May 4, to renew the admitted liability policy. If the true position be that the plaintiff instructed Mr. Cowmeadow to renew the policy but the latter, owing to a genuine misunderstanding did not appreciate and accept her instructions and, as a result, failed to renew the policy, the plaintiff's contention, raised in this alternative ground, is that the general conduct of the defendant, viewed in the light of the relationship existing between the parties, amounted to a breach of the duty to take care which that relationship imposed upon the defendant in the premises, for which breach, if resulting in damage to the plaintiff, the defendant is answerable. This claim does not arise on the pleadings as they stand but in putting forward this proposition Mr. Le Pelley, as I understood his argument, relied upon the recent decision of the House of Lords in Hedley Byrne & Co., Ltd. v. Heller & Partners, Ltd. (1), and in particular upon a passage from the speech of Lord Devlin in that case. Counsel for the defendant raised no objection to the claim being put forward in this way but sought to distinguish Hedley Byrne's case (1) on the facts and contended that if there was an honest and bona fide misunderstanding on Mr. Cowmeadow's part, and therefore no undertaking by him to effect a renewal of the policy, there can be no liability on the part of the defendant entitled the plaintiff to succeed. There would appear to be no decision of the courts of this country bearing directly upon the question so raised and the matter calls for careful consideration.

Although the facts in that case are readily distinguishable from those now before me, the decision makes clear that, apart from any strict contractual obligation and notwithstanding the absence of consideration, there may exist at common law in appropriate circumstances what has been called a "duty of care" on the part of a person having dealings with another. After referring to a number of earlier decisions Lord Morris of Borth-y-Gest said ([1964] A.C., at p. 502):

"My Lords, I consider that it follows and that it should now be regarded as settled that if someone possessed of a special skill undertakes, quite irrespective of contract, to apply that skill for the assistance of another person who relies upon such skill, a duty of care will arise."

Similarly Lord Devlin after an examination of the authorities said (ibid., at pp. 528 and 530):

"I think, therefore, that there is ample authority to justify your Lordships in saying now that the categories of special relationships which may give rise to a duty to take care in word as well as in deed are not limited to contractual relationships or to relationships of fiduciary duty, but include also relationships which in the words of Lord Shaw in Nocton v. Lord Ashburton (2) are 'equivalent to contract', that is, where there is an assumption of responsibility in circumstances in which, but for the absence of consideration, there would be a contract . . .

“I shall therefore content myself with the proposition that wherever there is a relationship equivalent to contract, there is a duty of care. Such a relationship may be either general or particular. Examples of a general relationship are those of solicitor and client and of banker and customer. For the former Nocton v. Lord Ashburton (2), has long stood as the authority and for the latter there is the decision of Salmon, J., in Woods v. Martins Bank, Ltd. (3), which I respectfully approve. There may well be others yet to be established. Where there is a general relationship of this sort, it is unnecessary to do more than prove its existence and the duty follows. Where, as in the present case, what is relied on is a particular relationship created ad hoc, it will be necessary to examine the particular facts to see whether there is an express or implied undertaking of responsibility.”

This principle was also illustrated in Candler v. Crane, Christmas & Co. (4) where Denning, L.J. (as he then was) in a dissenting judgment which was subsequently approved in Hedley Byrne’s case (1), after considering the position of company promoters and trustees who answer enquiries about the trust funds, said ([1951] 2 K.B. 180):

“Those persons do not bring, and are not expected to bring, any professional knowledge or skill into the preparation of their statements: they can only be made responsible by the law affecting persons generally, such as contract, estoppel, innocent misrepresentation or fraud. But it is very different with persons who engage in a calling which requires special knowledge and skill. From very early times it has been held that they owe a duty of care to those who are closely and directly affected by their work, apart altogether from any contract or undertaking in that behalf.”

From the evidence in this case it is clear that the business of an insurance broker in regard to the effecting or renewing of aircraft insurance with underwriters in London or elsewhere is a specialized class of insurance business. It is common cause that the defendant was the agent of the owners and not of the underwriters and that the owners had transacted through the defendant all the business of transferring the two policies from the Gordon Highlanders to themselves and it is clear that they had looked to the defendant to advise them upon the policies and to effect the renewal of, at least, the hull policy. It is manifest that the defendant as an insurance broker, and Mr. Cowmeadow the manager of its Nairobi branch, each constituted a person possessed of special skill and experience in the matter of aircraft insurance, that in all their dealings in this matter they must be assumed to have undertaken to apply that skill and experience for the benefit and assistance of the owners and, on May 4, 1964, of the plaintiff as the latters’ emissary, and that the three last-named persons relied upon the defendant in that regard.

In these circumstances I am of the opinion that the relationship which existed between the defendant and the owners attracted the application of the principle in Hedley Byrne’s case (1) and that, independently of contract, a duty of care arose. What was the extent of that duty and was the duty discharged?

The extent of such a duty would appear to depend upon a number of factors including in the present case the degree to which the owners may reasonably be said to have been, to the knowledge of the defendant, in the position of having to rely upon the defendant to ensure that they were made aware, so far as was necessary for their purpose, of the practical implications of aircraft insurance and that their requirements in the matter were attended to, and in this connection it should be borne in mind that, as Mr. Cowmeadow must be assumed to have known, the owners fell within the category of novices. Can it be said then that the duty of care owed to such persons was discharged by the defendant to the extent and with that degree of diligence properly to be imputed to it?

Notwithstanding the element of uncertainty as to the owners' instructions that must have been in Mr. Cowmeadow's mind when on May 11, he merely suggested to his London representative that the policy be allowed to lapse instead of giving a firm direction, he took no step at any time to remove the uncertainty by seeking clarification of those instructions. Furthermore he omitted to inform either the plaintiff or the owners, as prudence would have suggested, of the fact that, having failed to contact the Nakuru Club and despite having received no further instructions from the plaintiff or the owners, he had caused the policy to lapse with effect from midnight on May 7. Lastly Mr. Cowmeadow, in his evidence, stated that the practice obtaining in Nairobi in regard to aircraft insurance is that cover is effected through a representative, normally in London, and that, although with a new client he has to await receipt of a reply from his representative, in the case of an existing client cover can be given as from the time of his sending a cable to London. There was no suggestion that in the present case the owners were not existing clients for this purpose and it is clear that cover under the new hull policy had been effectively secured by the mere sending of the cable to London on May 5, although neither the precise terms of the policy nor the rate of premium had at that stage been determined. Nevertheless when Mr. Cowmeadow eventually came to realise, as he had done when he wrote to his London representative on June 16, that an admitted liability policy was also required, he took no action either to obtain temporary cover, as he had done with the hull insurance, or to warn the owners that he was not doing so and that they would remain for the time being uninsured. Had they been made aware of the situation they might well have taken steps to rectify the position rather than face the risk of being killed or injured without the provision of that cover for their dependants which it was one of the purposes of the admitted liability policy to provide.

The question raised is one of difficulty for the extent of the duty of care must vary according to the circumstances of each case, but having given to it the most careful consideration I am driven, for the reasons which I have stated, to the conclusion that, in the circumstances of this particular case, the defendant did not sufficiently discharge the duty of care cast upon it and that upon this ground also, the plaintiff is entitled to succeed.

Judgment for the plaintiff.

For the plaintiff:

Archer & Wilcock, Nairobi

J. Le Pelley

For the defendant:

Macdougall & Wollen, Nairobi

R. Sampson

Practice Notes 1957

Practice Note 1/57: E.A.C.A. Rules 1954, Rule 62 (1)

It is observed that in many recent appeals the memorandum has been extremely long, setting out the grounds of appeal in detail or at great length. The memorandum should set out the grounds of appeal shortly and simply. The broad issues to be raised should be stated but not the detailed reasons in support of them.

Advocates are reminded that if the Court is of the opinion that a memorandum of appeal is prolix the costs of drawing and copying it may be disallowed.

Practice Note 2/57: Hearing Dates

When an appeal has been listed for hearing, whether by consent or otherwise, and is included in the Cause List, it will not be taken out except for special reasons, even though all parties consent. Applications to take out an appeal by consent will only be considered if they are made in writing and signed by all parties, or are accompanied by letters from all other advocates in the appeal agreeing to that course. Such applications should, if possible, be filed in the Registry not less than three days before the date fixed for hearing.

Practice Note 3/57

In civil and criminal appeals where a shorthand note has been taken of the evidence and forms part of the record, the transcript must always contain a certificate of the accuracy of the transcript signed by the shorthand writer.

Practice Note 4/57: E.A.C.A. Rules 1954, Rule 81

Confusion still seems to exist about the correct procedure on extracting an order of this Court.

The party having the carriage of the order, normally the successful party on the appeal, must prepare the first draft, and this should be done immediately after delivery of the judgment. The preparation and approval of orders is a function of the "solicitor" on the record and not of "counsel" as such. Accordingly the advocates who appear on the record will prepare the draft and submit it for approval to the advocates for the other party or parties. (If a copy is sent as a matter of courtesy to leading counsel this is merely for information and does not affect the basic procedure.) The draft sent to the other party, or parties, should be clearly endorsed with the name of the advocates or firms to whom it is sent, followed by the words “for approval”, the signature of the advocate or firm sending the draft, and the date. Where the draft is to go to more than one other advocate or firm it must be sent first to the firm first-named and by them amended if necessary and signed either as approved or approved as amended. It should then be sent directly by them to the next advocate or firm referred to in the original endorsement, so that each in turn has the opportunity to amend and sign. The last mentioned firm will return it to those who originally drew it for consideration of any amendments and submission by them to the Registrar. In future, the Registrar will refuse to consider any draft order unless this has been done, or evidence is produced to him that another party has refused or omitted to comply.

If the parties are agreed on the form of the order this will be apparent on the face of the draft, if the above procedure is followed, since the party who prepared the draft must note either that amendments are agreed or not agreed. If on the other hand the parties are not agreed as to the form of the draft, it should be apparent from the single document what form each party thinks the order should take.

There may be cases in which amendments would be so extensive that it is more convenient for the opposite party to prepare an entirely new draft. Where this is done it should be annexed to the original draft and clearly identified by an appropriate note and signature. It is not necessary to give reasons either for amendments made or for rejection thereof. The reasons are usually self-evident.

No appointment will be made for a judge to settle an order unless it is clear that this procedure has been properly observed, or the Registrar is satisfied that some party is “in default”.

It is necessary to stress that the approval or amendment, as the case may be, of a draft order submitted is always a matter requiring immediate attention. If it cannot be done within a very short time say forty-eight hours, an explanation should be given by correspondence.

If the person having the carriage of an order does not take prompt steps to extract it, any other party may do so, using the above procedure mutatis mutandis. It is desirable, however, before doing this to invite by letter the person having the carriage to take immediate action.

Practice Notes 1958

Practice Note 1/58: Costs – E.A.C.A. Rules 1954, Third Schedule, Para. 15

In some recent appeals the provisions of the above paragraph have not been observed by the advocate for the successful party when filing and taxing his bill of costs.

Notice is given that the Taxing Officers of this Court will in future insist that this paragraph be observed.

Practice Note 2/58: Costs – Fees to Counsel

Where it is desired to tax in this Court any sum as a disbursement for fees paid to counsel, and the instructions to counsel in respect thereof are given at any time after June 1, 1958, the taxing officer will require that, in addition to counsel's receipt, the brief with a dated backsheet, or, at least, a dated backsheet, showing the work to be done by counsel and endorsed with the fee agreed to be paid therefor, should be produced. It is requested that counsel whatever other papers (if any) are delivered with his instructions, will treat the delivery of such a backsheet as being essential as a matter of etiquette in every case, unless emergency renders this impossible, in which case the backsheet should be delivered within forty-eight hours.

Practice Note 3/58: Costs – Trustees

Taxing Officers of this Court, when taxing the bills of costs of trustees, will in future do so in accordance with the principles laid down in re Grimthorpe's (Baron) Will Trusts [1958] 1 All E.R. 765. Counsel appearing for trustees should remind the Court of the special form of order required.

Practice Notes 1959

No practice notes were issued during this year.

Practice Notes 1960

Practice Note 1/1960: E.A.C.A. Rules 1954, Rule 9 (3)

Applications under this rule must be accompanied by a letter of consent to the extension applied for, and the letter should be addressed to the Registrar, and not to the advocates for the applicant.

Practice Notes 1961

Practice Note 1/1961: Costs – E.A.C.A. Rules 1954, Third Schedule, Para. 15

Advocates are again reminded that failure to comply with para. 15 of the third Schedule to the E.A.C.A. Rules, 1954, may result in the loss of fees for preparing documents, the fee for which is charged for by the folio, and of disbursements when vouchers or receipts are not produced.

Practice Note 2/1961: E.A.C.A. Rules 1954, Rule 19 (6) – (Reference to the full Court)

Any person aggrieved by a decision of a single Judge who desires to have his application in a criminal matter determined by the full Court under para. (a) of s. 14 of the Eastern African Court of Appeal Order in Council, 1950, or to have the decision in a civil matter varied, discharged or reversed under para. (b) of the said section should, in addition to giving notice, pursuant to r. 19 (6) of the Eastern African Court of Appeal Rules, 1954, of such desire to the Judge or Registrar within seven days after the decision complained of, serve, or arrange for service by the Registry of, a copy of such notice if given in writing, or a notification thereof if given orally, on all other parties (if any) to the application and, in due course, notify all such parties in writing of the date and time fixed for the hearing of such reference by the full Court.

Practice Note 3/1961: Preparation and Certification of Records

Cases have occurred recently where records have been presented for filing which do not agree with the copies of proceedings supplied to advocates. These records have been certified by advocates as being correct and it seems apparent that these certificates must have been given without the advocate having checked the record.

It is notified for general information that in future cases where this happens and the appellant is successful, the Court will disallow all or part of the costs of preparing the record.

Practice Notes 1962

Practice Note 1/1962: Hearing Dates

Once an appeal is fixed for hearing it will not be taken out of the list, even with the consent of both parties, unless it is settled or good reasons for so doing are shown to the satisfaction of the Court.

Should the Court permit an appeal to be taken out of the list, it will be put at the end of the waiting list, unless the Court orders otherwise.

Practice Notes 1963

No practice notes were issued during this year.

Practice Notes 1964

Practice Note 1/1964: Form of Applications – E.A.C.A. Rules 1954, Rule 19

The Court will in future require precise compliance with r. 19 of the East African Court of Appeal Rules, 1954.

All applications to the Court, unless made informally in the course of the hearing of an appeal and not involving the decision of an appeal should be made by motion supported by an affidavit stating the grounds of the application. The hitherto prevalent practice of making applications to the Court by way of notice is hereby discontinued.

Practice Notes 1965

No practice notes were issued during this year.

Practice Notes 1966

No practice notes were issued during the period from January to August, 1966.

Sat Dev Sharma (Seema Driving School) v The Home Insurance Company of New York

[1966] 1 EA 8 (SCK)

Division: Supreme Court of Kenya at Nairobi
Date of judgment: 10 December 1964
Case Number: 1191/1962
Before:Farrell J
Sourced by: LawAfrica

Insurance – Personal accident insurance – Group policy of life and accident insurance – Interest of third party in policy – Policy taken out by employer on behalf of himself and his employees – Employee injured in course of employment – Action by employer claiming compensation under policy – **Whether employer has insurable interest in subject matter of assurance** – Whether action maintainable by employer – Insurance (Life and Accident) Act, 1774, s. 1.

Contract – Parties – Enforcement by third parties – No implied trust.

Editor's Summary

The plaintiff was proprietor of a driving school and entered into the defendant's group policy of life and accident insurance on behalf of himself and his three instructors. The policy provided that in the event of the insured suffering death or disablement the company shall, subject to the terms exceptions and conditions of the policy, pay to the insured or his legal representatives, the compensation specified in the schedule. The first panel of the schedule in the policy set out the name of the insured as "Messrs. Seema Driving School on the lives of Messrs. . . ." and there followed the names of the four driving instructors who were not parties to the policy or the action. During the currency of the policy one of the instructors sustained serious injuries while on duty. The plaintiff, as the policy holder, then sued the defendant claiming compensation specified in the policy and it was contended for the defendant that the action was not maintainable by the plaintiff by virtue of s. 1 of the Insurance (Life and Accident) Act, 1774, as he had no insurable interest in the subject matter of the policy.

Held –

(i) the policy on its true construction was a policy taken out by the plaintiff as employer for the benefit of the named employees, and the plaintiff had no insurable interest in the subject matter of the policy;

(ii) there was no constructive or implied trust under which the plaintiff was trustee on behalf of the employees.

Action dismissed.

Cases referred to in judgment:

(1) Hodson v. Observer Life Assurance Society (1857), 26 L.J.Q.B. 303.

(2) Lloyd's v. Harper (1880), 16 Ch.D. 290.

(3) Vandepitte v. Preferred Accident Insurance Corporation of New York, [1933] A.C. 70.

(4) Green v. Russell, [1959] 2 Q.B. 226; [1959] 2 All E.R. 525.

(5) Re Schebsman, [1944] Ch. 83.

Judgment

Farrell J: The plaintiff is the proprietor of a motor driving school, in which he employs three driving instructors besides himself. In view, no doubt, of the measure of risk involved in the occupation, he took out what is known as a group policy of life and accident insurance on behalf of himself and his employees with the defendant company. During the period of the insurance one of the instructors named Mohamed Sadik met with an accident while a passenger in a vehicle proceeding along the Mombasa Road from Nairobi to Embakasi airport. He sustained serious injuries and has not been able to resume his previous occupation. In this suit the plaintiff as the policy holder sues the defendant company for the compensation specified in the policy as payable in the event that happened, viz., in respect of temporary disablement at the rate of £15 per week for a period of 100 weeks, and medical expenses amounting to fifteen per cent. of the weekly compensation, making a total of £1,725. There is no dispute as to the injuries suffered or the amount due in the event of liability being established, and the sole issue is whether the plaintiff is entitled in law to claim under the policy.

The contract of insurance is set out on a printed form headed "Personal Accident Insurance" and provides that in the event of the insured suffering death or disablement the company shall, subject to the terms exceptions and conditions of the policy, pay to the insured or to his legal personal representatives the compensation specified in the schedule.

The first panel of the schedule sets out the name of the insured as "Messrs. Seema Driving School on the lives of: Messrs . . ." and there follow the names of the four driving instructors. After the address the occupation of the insured is given as "driving instructors". There follows a panel containing details of the period of insurance and the premium. The last panel has a printed heading "The Benefits" (to which have been added in typescript the words "per person") and contains details of the amounts payable in the various events specified.

The first question which arises on a consideration of the policy is, what on its true construction is intended by the expression "the insured"? For the plaintiff it is argued that it was he who signed the proposal and paid the premium, and the name under which he trades is entered as the name of the insured. On the other hand it is clear that a driving school cannot suffer death or personal injuries. The policy is expressed to be "on the lives" of the four driving instructors, and the compensation is expressed to be payable inter alia in the event of "the insured" suffering death or disablement. It seems clear that in that context, at any rate, the insured means the persons on whose lives the policy has been taken out. The same inference is clearly to be drawn from the language used in two of the exceptions which were at first relied on by the defendant, under which liability is excluded in respect of death injury or disablement consequent upon,

"(b) the Insured being under the influence of or being affected (temporarily or otherwise) by alcoholic drugs venereal disease or insanity;

(c) The Insured wilfully exposing himself to needless peril (except in an attempt to save human life) or the Insured committing or attempting to commit suicide whether felonious or not."

It appears beyond argument that every reference to "the insured" in the body of the policy is intended to be a reference to the persons on whose lives the policy is taken out, and this ill accords with the description of the insured in the schedule as the Seema Driving School. In a similar policy to which I shall later refer, the policy holder, the person who signed the proposal and paid the premium, is referred to as "the insured", and the persons for whose benefit the policy was taken out are referred to as "the insured persons". Such a distinction makes for greater consistency and clarity, but, as will appear, does not remove the fundamental difficulty which arises when such a policy is taken out by one person on the lives and for the benefit of others.

The difficulty arises from the provisions of the Insurance (Life and Accident) Act, 1774. That this is a statute of general application and as such in force in this country is agreed by counsel on both sides, and I can see no reason to disagree with their opinions.

The Act, which aimed at the mischief of insurances by way of gaming or wagering, by s. 1 avoided policies in which the assured has no insurable interest in the subject matter of the assurance. Section 2 makes it illegal to enter into a policy without inserting in it the name of the person or persons interested. Section 3 restricts the amount recoverable to the value of the interest at the time the insurance is affected. Section 4 excludes from the scope of the Act insurances on ships, goods and merchandise. The enactment which applies primarily to policies on lives, extends to personal accident insurance: 22 Halsbury's Laws (3rd Edn.), p. 278.

There is no suggestion that the policy under consideration was in any sense a gaming or wagering contract; but it is well established that the statutory provisions apply even to a contract which is clearly outside the mischief of the statute: Hodson v. Observer Life Assurance Society (1), ((1857) 26 L.J.Q.B. at p. 304, per Coleridge, J.). With regard to the requirements of s. 2, it is submitted on behalf of the plaintiff that the names of the persons interested have in fact been inserted in the policy, and I think the submission is good. The contrary was held in Hodson's case (1), but that case is distinguishable as it was expressly recited in the policy that the person interested was the plaintiff, and not the person on whose life the policy was taken out.

But if the plaintiff can surmount any obstacle presented by s. 2 of the Act, that is of no help to him in face of s. 1. The section omitting immaterial words, reads as follows:

“No insurance shall be made by any person on the life of any person or on any event wherein the person for whose benefit or on whose account such policy shall be made shall have no interest.”

Now in this case the insurance was undoubtedly “made” by the plaintiff, and according to the section it must be shown that the plaintiff had an insurable interest in the subject matter of the policy. This the plaintiff has been unable to show, since the benefits under the policy are clearly intended to pass to the employees in the event of death or injury, and are not intended to secure the plaintiff against any liability in respect of their employment. It is well established that an insurable interest must be a pecuniary interest and “its amount is measured by the pecuniary loss which the person for whose benefit the insurance is effected is likely to sustain by reason of the death of the life insured”: 22 Halsbury’s Laws at p. 279. “Moral obligations owed to the assured are not sufficient to sustain an insurable interest”: MacGillivray on Insurance Law (5th Edn.) Vol. I, para. 405.

By these tests the plaintiff has no insurable interest in the subject matter of the policy. On the other hand each of the persons for whose benefit the policy has been taken out has an insurable interest, and if these persons had entered into the policy and taken out the insurance in their own names, there could be no dispute about their entitlement to claim in the events specified. But those persons are not the claimants, and the question arises by what right the plaintiff is entitled to claim the benefit of the policy.

It seems that the only way in which the plaintiff might escape the disabling provisions of s. 1 of the Act and establish his right to enforce the contract would be by showing that he ought to be regarded as a trustee for the persons for whose benefit the contract must be assumed to have been made. If a trustee relationship could be established, the injured party as cestui que trust could call upon the plaintiff as trustee to sue on his behalf, and if he refused could himself sue joining the trustee as a defendant.

It is not clear from the arguments whether it was intended that this point should be taken on behalf of the plaintiff. There is no reference to it in the opening. It was first suggested in cross-examination of the plaintiff, who, in fact, denied that he had contracted as trustee. In his closing address, counsel for the defendant pointed out that the plaintiff does not purport to sue as trustee, and suggested that the only possible claimant in law or equity would be the injured party. Counsel for the plaintiff, while deprecating that any notice should be taken of the opinion of a layman (meaning the plaintiff) as to the effect of the policy, pointed out that the injured person was a stranger to the contract and submitted that on common law principles the only person entitled to sue was the plaintiff.

There is undoubtedly a line of authorities which supports the proposition that where a contract is made with A for the benefit of B, A can sue on the contract for the benefit of B and recover all that B could have recovered if the contract had been made with B himself. See Lloyd's v. Harper (2). The basis of the principle is that A must be regarded as trustee for B under an implied trust. The principle is recognised in Vandepitte v. Preferred Accident Insurance Corpn. of New York (3), ([1933] A.C. per Lord Wright at p. 79), where, however, it is suggested that the intention to constitute the trust must be affirmatively proved, and cannot necessarily be inferred from mere general words in the policy. This case was referred to by counsel for the defendant company. But, while the general principle is recognised, it cannot, I think, be prayed in aid in circumstances such as exist in this suit in view of a recent decision of the Court of Appeal in England to which neither counsel found occasion to refer, viz., Green v. Russell (4). The case was concerned with a policy very similar to the policy in the instant case. I take the following statement from the headnote:

"In 1951 an employer took out a personal accident group insurance policy which, after reciting 'Whereas the insured is desirous of securing payment of benefits as hereinafter set forth to any insured person,' provided that 'if . . . any insured person shall sustain 'bodily injury' resulting in death, the insurance company should pay a specified sum, and that 'the company shall be entitled to treat the insured as the absolute owner of this policy and shall not be bound to recognise any equitable or other claim to or interest in the policy and the receipt of the insured . . . alone shall be an effectual discharge.' The policy described the employer as the 'insured' and named as the 'insured persons' certain of his employees. Those employees knew of the existence of the policy but it formed no part of the terms of their employment, nor did the employer undertake any obligation to maintain or renew the policy.

In 1955 one of the employees named as an 'insured person' died in a fire which occurred on the employer's premises. The employee's mother brought an action under the Fatal Accidents Acts in which liability was admitted and damages were agreed at £1,300. On the question whether a sum of £1,000 paid under the policy by the insurance company in respect of the death to the employee's solicitors and paid or about to be paid by them to the employee's mother was a benefit arising out of the death which should be taken into account and deducted from the agreed damages:

(1) that the deceased employee had no right at law to the policy moneys, since he was not a party to the contract of insurance and therefore could not sue upon it . . .

(2) That the mere intention to provide benefits was insufficient to create a trust, and accordingly the deceased employee did not have any equitable interest in the policy moneys . . .

On the main issue under the Fatal Accidents Act, it was held that irrespective of the legal rights under the policy, the money actually paid did not fall to be deducted from the agreed damages, as it fell within the description of 'money paid or payable on the death of the deceased under any contract . . . of insurance'." In rejecting the contention that there was a trust in favour of the deceased, Romer, L.J. ([1959] 2 Q.B. at p. 241), cited the following dictum of Lord Greene, M.R., in the earlier case of In re Schebsman (5) ([1944] Ch. at p. 89):

"It is not legitimate to import into the contract the idea of a trust when the parties have given no indication that such was their intention. To interpret this contract as creating a trust would, in my judgment, be to disregard the dividing line between the case of a trust and the simple case of a contract made between two persons for the benefit of a third."

Green v. Russell (4) is also referred to by MacGillivray (loc. cit. Vol. 2 at p. 559) under the heading of Group Insurance, i.e., "where an employer, with intent to benefit his employees, takes out a group policy of life or accident insurance on their behalf". After setting out the facts of the case the commentary proceeds in para. 1144 at p. 560:

"The further question, whether in a case in which the employer has no interest legal or equitable in the policy moneys, there is such an insurable interest as the Life Assurance Act, 1774, requires, did not fall to be considered. It is submitted that there probably is not, for the form of the policy makes it clear that it is the employee's interest which is being insured, and not either the employer's interest, such as it may be, in the freedom of his staff and workmen from death or injury, or his liability for any accidents which may befall them in the course of their employment, which is always covered by a different form of policy."

In the light of the authorities to which I have referred, I hold that the policy on its true construction was a policy taken out by the plaintiff as employer for the benefit of the named employees, and that the plaintiff had no insurable interest in the subject matter of the policy. There was no constructive or implied trust under which the plaintiff was a trustee on behalf of the employees, nor does he claim in such capacity. With regard to the alternative plea put forward by counsel for the defendant company that, if it should be held that the plaintiff had any insurable interest, it was limited to the loss of the employee's services during the period of the notice which would be required, namely, one month, in view of my finding that the plaintiff had no insurable interest this point does not arise, and in any case having regard to the way the claim is presented. I do not think it would be open to the plaintiff to make any claim of this nature. It follows that the claim fails by reason of the provisions of s. 1 of the Act of 1774.

I nevertheless think it proper to make certain observations of a general nature. It is clear that the policy is of a type that is not infrequently issued (see MacGillivray loc cit.). The defendant company, which must be assumed to be familiar with the law, has accepted the plaintiff's premium and has nevertheless thought fit to repudiate liability to make the specified payments, although it does not dispute that the event which happened is clearly one of the risks intended to be covered by the policy. I have no knowledge what is the general practice of insurance companies in similar cases, but in at least one such case (Russell v. Green (4)) the insurance company very properly thought fit to honour the policy though, if the view expressed in MacGillivray is correct, it could if it had chosen have relied on the technical defence provided by the Act of 1774. Whatever the rights and liabilities of the parties may be on a strict application of the law, if a company were to accept a premium with no intention in any circumstances of honouring the policy, it would manifestly lay itself open to a charge of unconscionable behaviour. If these considerations were brought to the notice of the defendants by their legal advisers, it may be that they would consider themselves under some moral obligation to meet the plaintiff's claim, if only as an act of grace.

For the reasons given the suit is dismissed with costs to the defendant company.

Action dismissed.

For the plaintiff:

J. S. Patel & Parrick, Nairobi

D. N. Khanna and B. Parikh

For the defendant:

Buckley Hollister & Co., Nairobi

Bryan O'Donovan, Q.C. and D. F. Shaylor

Director of Public Prosecutions of Tanzania v Akber Rashid Nathani

[1966] 1 EA 13 (CAN)

Division: Court of Appeal at Nairobi

Date of judgment: 10 January 1966

Case Number: 188/1965

Before:Newbold VP, Spry and Law JJA

Jupiter General Insurance Co Ltd v Rajabali Hasham and Sons

[1960] 1 EA 592 (CAN)

Division: Court of Appeal at Nairobi
Date of judgment: 15 July 1960
Case Number: 21/1960
Before:Gould Ag VP, Windham CJ and Crawshaw CJ
Sourced by: LawAfrica
Appeal from: H.M. High Court of Tanganyika – Law, J.

Insurance – Motor insurance – Validity of indemnity – Warranty excluding liability if driver not sober – Driver of insured using car without authority when drunk – Vehicle damaged beyond repair – Whether insurers liable – Penal Code, s. 284 (T.).

Pleading – Amendment – Appeal – Omission to plead warranty in defence – Application made to amend defence at hearing of appeal – Omission due to inadvertence – Circumstances in which amendment allowed.

Editor's Summary

A motor insurance policy indemnified the insured against loss or damage to his vehicle occasioned inter alia by accidental collision, theft or malicious act but had a clause excluding loss or damage occurring whilst the vehicle was being driven by any person other than the insured or someone authorised by him. There was also an endorsement on the back of the policy warranting that the insurers should not be liable if the vehicle at the time of an accident was being driven by a person who was not sober. The insured instructed his driver to take the car to a garage and leave it there for the night but the driver ignoring this order took the car for a private frolic, became drunk and had an accident which damaged the car beyond repair. In an action by the insured for the value of the vehicle the defence of the insurance company pleaded that the driver was not at the material time an authorised driver but omitted to plead the endorsed warranty. The trial judge found for the plaintiffs whereupon the insurance company appealed and at the opening of the appeal moved for leave to amend the defence by pleading the warranty. Since the omission to plead the warranty was shown to be due to inadvertence and, had the warranty been pleaded originally, no further evidence would have been needed nor would the course of the trial have been altered the amendment was allowed. Counsel for the appellant insurers then abandoned all grounds of appeal save that related to the warranty. The respondents' main contention was that the driver had converted the car to his own use when he took the car on a private frolic, that this was a malicious act and that the drunkennes of the driver at the time of the accident was immaterial.

Held – (Windham C.J., dissenting) by taking the vehicle unlawfully the driver had committed an act of conversion contrary to s. 284 of the Penal Code which was a malicious act; the malicious act was an insured risk materialising at the time of conversion when neither the warranty nor any other exception applied; it was also a continuing act and included the acts of the driver in pursuance thereof and the respondents who had lost the vehicle were entitled to recover under the policy.

Appeal dismissed.

Cases referred to in judgment:

(1) Marsden v. City & County Insurance Co. (1865), L.R.1 C.P. 232.

(2) Becker, Gray & Co. v. London Assurance Corporation, [1918] A.C. 101.

(3) Leyland Shipping Co. Ltd. v. Norwich Union, [1918] A.C. 350.

(4) Samuel & Co. (P.) v. Dumas, [1924] A.C. 431.

(5) Bromage v. Prosser (1825), 4 B. & C. 255.

The following judgments were read:

Judgment

Gould Ag VP: This is an appeal from a judgment and decree of the High Court of Tanganyika at Tanga allowing a claim by the respondent firm against the appellant company upon a motor vehicle insurance policy. The claim was for the total loss of the respondent firm's Chevrolet Saloon Car No. KAN 401.

The proceedings before this court opened, most unusually, with a motion to amend the Written Statement of Defence by adding a new para. 4 (d). Before setting it out I will, for the sake of easy reference, set out para. 4 and para. 5 of the plaint to which the proposed new para. 4 (d) is directed:

"4. On the said 11th day of August, 1958 and at all material times the plaintiff was interested in the said vehicle to the extent of Shs. 28,500/- being the insured value thereof.

"5. On the 15th day of August, 1958 during the currency of the said policy the plaintiff's driver one Saidi bin Mzuri wrongfully and maliciously drove away the said vehicle without the consent of the plaintiff or of any other person on behalf of the plaintiff and drove the said vehicle for some 122 miles from Tanga and, when drunk, met with an accident near the District Commissioner's Office in Tanga Township on Tanga – Korogwe Road by which the said vehicle became a total wreck and beyond economic repair."

The new proposed paragraph in the Written Statement of Defence was:

"4. As regards para. 4 and para. 5 of the plaint, but subject to the non-admission as to the Policy of Insurance pleaded in the preceding paragraph, the Defendant Company admits the facts therein alleged save that:

. . . .

(d) states further that the fact that plaintiffs' said driver was drunk when he met with the accident pleaded in para. 5 of the plaint, constituted a breach of the Warranty printed on the back of the Policy of Insurance as follows: 'It is hereby understood and agreed that the Company will not be responsible for the accident and/or any damage and/or claims of any nature when the vehicle is driven by a person who is not sober and/or under the influence of alcoholic drink, liquor or drugs'."

The remarkable circumstance that the appellant company did not, notwithstanding the plea in para. 5 of the plaint that the driver of the vehicle was drunk at the time of the accident, avail itself of this warranty in its pleading and case in the court below, is accounted for in an affidavit filed by the advocate who appeared for the company in the court below and in this court, para. 2 to para. 7 of which are in the following terms:

"2. In the first place I was sent by the appellant a copy of the relevant Policy, together with copies of certain correspondence between the parties, and a copy of an opinion by an advocate in Kampala expressing the view that the appellants had good grounds for resisting the respondent's (the original plaintiff's) claim, and asked whether I concurred with the said opinion.

"3. I read the said Policy, correspondence, and opinion, and informed the appellant that I did so concur, but I failed to observe the 'Warranty' printed on the back cover of the Policy, of which no mention was made in the said correspondence and opinion.

"4. Certain interlocutory matters were then conducted on my behalf in Tanga by Mr. B. R. Patel, advocate, who appeared with me as my junior at the trial. He also failed to observe the said Warranty.

"5. In the result, the said Warranty was not pleaded in the appellant's Written Statement of Defence.

"6. The said Policy (as continued) was put in as evidence by the respondent at the trial, was referred to in argument, and considered at length by the learned trial judge in his judgment, but at no stage of the trial was the said Warranty referred to, as I was still unaware of it, and did not direct the learned judge's attention to it.

"7. It was not until after the judgment of the High Court herein had been pronounced that the appellant first referred me to the said Warranty."

In augmentation of this affidavit the advocate for the company stated to this court that the policy had been annexed to a file cover which tended to obscure the back.

There was no challenge to the power of this court to allow the amendment to be made, and the explanation of inadvertence put forward in the affidavit above quoted was fully accepted by counsel for the respondent firm. Indeed it is obvious that having regard to the contents of the plaint the advocate for the company could not have failed to avail himself of the warranty had he been aware of its existence. The only question was whether the interests of justice required that the amendment should be allowed.

It did not appear to this court to be a case in which, had the warranty been pleaded originally, further evidence might have been necessitated. The drunkenness of the driver at the time of the accident was common ground. Nor did it seem that the course of the trial would have been altered in any way. It was not a matter which had been deliberately omitted from pleading or argument in the court below. The advocate for the respondent firm did not submit that the case fell under any of these heads.

In the circumstances, the omission being due to inadvertence, however regrettable, the court felt that the case had been decided in the court below on the basis of a purported contract which was not the complete contract between the parties and that, subject to a suitable order as to costs, if necessary, the amendment ought to be allowed: it was not considered that a new trial should be ordered as all necessary material was available to this court. The amendment was accordingly ordered and the advocate for the company thereupon abandoned all grounds of appeal save that related to the warranty.

There is no dispute as to the facts. The driver of the motor car in question, Saidi bin Mzuri, had been ordered to take the car to a garage in Tanga and leave it there for the night. Instead of doing so and in breach of his orders he went on a long trip in the course of which he became intoxicated and had an accident, whereby the car was damaged beyond the possibility of economic repair. It is stated in the judgment of the learned trial judge and was accepted by the advocates before this court that the driver was not committing theft as he had "taken the car for a frolic of his own". He committed the offence of "conversion not amounting to theft" by converting the car to his use unlawfully and without colour of right. It is agreed that he was not drunk when he embarked upon this enterprise, but had become so by the time the accident occurred.

The operative portion of the policy so far as it is relevant reads: "Now this Policy witnesseth:

That subject to the terms, exceptions and conditions contained herein or endorsed or otherwise expressed hereon

SECTION 1 – Loss or Damage.

1. The Company will indemnify the Insured against loss of or damage to the Motor Vehicle and its accessories and spare parts whilst thereon

(a) by accidental collision or overturning or collision or overturning consequent upon mechanical breakdown or consequent upon wear and tear

(b) by fire, external explosion, self-ignition or lightning or burglary, housebreaking or theft

(c) by malicious act".

Among the "General Exceptions" is the following:

"The Company shall not be liable in respect of (1) any accident, loss, damage or liability caused, sustained or incurred (b) whilst any Motor Vehicle in respect of which indemnity is provided by this Policy is (ii) being driven by or is for the purpose of being driven by him in the charge of any person other than an Authorised Driver".

The expression "Authorised Driver" is defined as meaning:

"(a) The insured

(b) any person driving on the insured's order or with his permission",

subject to the proviso that the person driving is duly licensed to drive the vehicle. It was agreed between counsel that the "Warranty" above quoted was incorporated in the policy by the words "endorsed or otherwise expressed hereon" and that it operated as a condition.

It was the submission of the advocate for the company that the endorsed condition concluded the matter; that it was in the widest terms. The vehicle was being driven at the time of the accident by a person who was not sober and therefore the company was not liable. The advocate for the respondent on the other hand contended that one of the risks insured against was loss or damage by malicious act, that the driver committed a malicious act when he converted the car to his own use, and at that time he was sober. The loss of the car was consequent upon the malicious act and it was immaterial that the driver was drunk when the accident happened.

In his judgment the learned trial judge devoted some time to considering whether the driver of the car was an authorised driver at the time of the accident and concluded that he was not, as he was not then driving with the permission of the insured. I do not think that the court is concerned with that question. There is no doubt that up to the moment of the conversion the driver was "authorised"; if the matter is to be looked at as at the moment of the collision and the risk insured against as being "accidental collision or overturning" then the company would be protected under the general exception to the policy if the driver were "unauthorised", and on the other hand if he were "authorised", protection would be afforded by the warranty, in view of his state of insobriety. If, on the other hand, it is right to regard the loss as accruing from a malicious act, taking place when the car was in charge of a sober and "authorised" driver, then I do not think that the question of the identity or condition of the driver at the time of the collision really arises.

At the first glance it would appear that the argument for the appellant is meritorious. The indemnity against all the insured risks afforded by the policy is plainly stated to be subject to the conditions, etc., endorsed on the policy. The accident took place while the driver was drunk, a state of affairs covered by one such condition. That might be said to be an end of the matter and the company to be exempt from liability. But I think there is more to be said and all of the insured risks of the policy must be taken into consideration. The one particularly in point is loss of or damage to the vehicle by malicious act. These words have to be interpreted as they stand and it is patent in my opinion that they are capable of a wider meaning than what is commonly thought of as "malicious damage". That phrase brings to mind such things as tyres slashed and windows broken with deliberate and wicked intent. These things are undoubtedly covered by the policy but there are other malicious acts. In his judgment the learned trial judge said:

"As regards the first issue, I am of opinion that the words 'malicious act' in para. 1 (c) of the policy should be interpreted in accordance with the classic definitions of 'malice' given by Lord Campbell and Bayley J., and referred to in Byrne's Law Dictionary, under the heading 'malice', as follows:

'malice . . . consists in a conscious violation of the law to the prejudice of another', and

'malice . . . in its legal sense, means a wrongful act done intentionally without just cause or excuse.'

In taking the car for a frolic of his own, the driver Saidi was not committing theft, because his intention was to return the car. Had he intended to steal, the insurance company would have been liable under para. 1 (b) of the policy. The offence committed by Saidi was what is known in this Territory as 'conversion not amounting to theft', see s. 284 of the Penal Code; he took the car unlawfully and temporarily converted it to his use; and in so doing I have no doubt at all that he committed a conscious violation of the law to the prejudice of the plaintiff firm, and that he intentionally did a wrongful act without just cause or excuse, and I answer the first issue in that sense."

I respectfully agree that the act of conversion in this case, a criminal act contrary to s. 284 of the Penal Code, was a malicious act. It would be easier to visualise as such if the car had been driven away by some person other than the usual driver, while the latter had temporarily left it unguarded; but the nature of the act is the same in either case. The malicious act was an insured risk and one which materialised at the time of the conversion, at which time neither the warranty nor any exception applied.

The case of theft, another insured risk, has been instanced by way of parallel. Had the driver taken the car away with the intention of keeping it and depriving the owners permanently of it he would have committed the crime of theft. That is one of the insured risks and if the car was not recovered, or was recovered in a damaged state, the company would have been responsible. It could not be heard to say that the thief or someone to whom the thief had sold or delivered the car had wrecked the car while driving it in a state of insobriety, or was not an authorised driver, and that therefore the company was protected by the warranty or the exception. That in my opinion, is not what the policy means. The insured risk, theft, is one which would materialise when the car was stolen, and if at that time none of the exceptions were applicable the company would become liable to indemnify the insured for whatever loss ensured.

The next question is whether there was "loss" by the malicious act. In other words was the loss proximately caused by the insured risk? I think that this is really the crux of the case.

The doctrine of proximate cause has its origin mainly in cases decided in relation to policies of marine insurance, but it is stated in the Law of Insurance by Preston and Colinvaux (1950) at p. 84, to apply generally. It was accepted as a general rule of insurance law by Erle, C.J., in Marsden v. City and County Insurance Co. (1) (1865), L.R. 1 C.P. 232 at 239. In the marine cases it has been held that the proximate cause is not the latest cause but is what has been variously described as the "direct", "dominant" or "operative and efficient" cause. (Becker, Gray & Co. v. London Assurance Corporation (2), [1918] A.C. 101; Leyland Shipping Co. Ltd. v. Norwich Union (3), [1918] A.C. 350; Samuel & Co. (P.) v. Dumas (4), [1924] A.C. 431).

In the present case there are two possible causes for consideration. The malicious act itself – the conversion of the motor car – was undoubtedly a causa sine qua non and at the present day it cannot be said to be an unlikely or unexpected result of the conversion of a motor vehicle for the purposes of what the learned judge called "a frolic of his own", that the venture will result in the vehicle being wrecked. The other cause was the negligence of the driver in driving the vehicle while drunk. This is a circumstance which, regarded alone, falls within the warranty, and if that negligence is to be regarded as a more proximate cause of the loss the respondent firm cannot recover.

This question I find to be a difficult one. The negligence of the driver was the latest cause, but, as has been said above, that is not material. Taken alone the negligence could be said to be a direct cause of the loss, but I do not think the matter should be so regarded. As I see it the negligence of the driver ought to be regarded as part and parcel of the malicious act, the conversion of the car. The malicious act was a continuing one and included the acts of the driver in pursuance of it. In that sense the malicious act, which was the insured risk, was the dominant cause of the loss. I think something can be drawn from the law of marine insurance in which the negligence of master and crew does not absolve the insurer if the loss is proximately caused by a peril insured against. It will suffice on this topic to quote two passages from Halsbury's Laws of England (3rd Edn.) Vol. 22. Firstly at p. 92:

"The insurer is not liable for any loss attributable to the wilful misconduct of the assured, but unless the policy otherwise provides he is liable for any loss proximately caused by a peril insured against, and is liable even though the loss would not have occurred but for the misconduct or negligence of the master or crew. The same result follows when the negligence of any other person (including the assured himself) contributes to the loss."

Secondly at p. 93:

"With regard to the misconduct of persons other than the assured, the insurer is liable for a loss which would not have occurred but for the misconduct (wilful or otherwise) of the master or crew (or any other person), provided the loss was proximately caused by a peril insured against."

In my opinion therefore the driver in the present case by taking the car for his own purposes committed a malicious act at a time when the exceptions and warranty did not apply. That act was an insured risk and the car was, by reason of it, never returned to the owners and was lost to them. They are in my opinion entitled to recover upon the policy. If I am wrong in this it would seem that if the car had been stolen and subsequently wrecked by an unauthorised or drunken driver, the company would equally be able to avoid liability.

For these reasons I would dismiss the appeal with costs.

Windham C J (T): I have the advantage of reading the judgment of my brother, Gould, Ag. V.-P., and I have carefully considered the process of reasoning by which he has reached the conclusion that the appellant company is liable in respect of the total loss of the respondents' car, and that the appeal should accordingly be dismissed. But, with the greatest respect, I find myself unable to agree with his conclusion.

The question seems to me to be somewhat simpler of solution than he would envisage it. What must be done, as I see it, is to construe the insurance policy in relation to the facts of the present case, not in relation to any hypothetical case (as for instance, the theft of a car by its driver who thereafter gets drunk and wrecks it), and in doing so to apply the established cannon of construction, expressed in the question – what is the intention of the parties as expressed in the words they have used and set their hands to? Construing the policy in this way, we find that it contains two clauses which, subject to the introductory words that precede the first of them, might seem irreconcilable. The first is the cl. 1 (c) in which the appellant company undertakes to

"indemnify the insured against loss of or damage to the motor vehicle . . . (c) by malicious act."

The second is the endorsed "warranty" (rightly conceded before us as operating as a condition negativing liability) under which it is agreed that the company

"will not be responsible for the accident and/or for any damage and/or claims of any nature when the vehicle is driven by a person who is not sober . . ."

Assuming for the moment (though I will deal with the point later) that the loss of the car in the present case was “by” the malicious act of its driver in taking it for a frolic, in the sense of being caused by that act, then we are confronted with unarguable liability under cl. 1 (c), and unarguable exemption from liability under the “warranty”, the driver having been admittedly drunk at the moment of the accident. How are we to reconcile these two clauses? The policy itself immediately supplies the answer. It lies in the introductory and qualifying words which precede cl. 1, and which read:

“subject to the terms, exceptions and conditions contained herein or endorsed or otherwise expressed hereon.”

The “warranty” is a condition so endorsed thereon. Clause 1 (c) must therefore be subject to the “warranty” or, in other words, in case of conflict the “warranty” must prevail.

The objection has been advanced that this interpretation would lead to the conclusion that if the driver decided to steal the car and, with that object, drove it away, got drunk, and then wrecked it, the company would be exempt from their liability for the loss through theft – a liability undertaken in cl. 1 (b) – because the thief happened at the time of the accident to be drunk. This, it is suggested, and I think rightly suggested, could hardly be the intention of the policy. But it seems to me that there are two answers to the objection. First, we are not concerned with how the policy should be construed in such an event, but only with its construction in respect of the facts before us. Secondly, it by no means follows that the construction which I would adopt and apply to the circumstances of this case, as representing the intention of the parties as expressed in the words they have used, would necessarily have to be applied in the hypothetical case of theft followed by intoxication which has been instanced. The wording of the policy, whereby the liability under cl. 1 (b) or cl. 1 (c) is subordinated to the exemption in the “warranty”, is so clear that, in accordance with accepted canons of construction, the policy must be construed in accordance with that wording unless this would lead to such a manifestly absurd or illogical or improbable a result that it cannot conceivably be deemed to represent the parties’ intentions, in which case the policy should be construed otherwise. Now it might well be argued that the result, as applied to the hypothetical case of theft and drunkenness would be just such an absurd or illogical one; and that argument if such a case should fall to be decided, might prevail. Such, however, is not the position in the present case, as I see it. It cannot here be contended, in my view, that, notwithstanding the existence of the (on the face of it) overriding exemption clause in respect of an accident occurring while the driver is drunk, the parties must have intended that the company should nevertheless be held liable merely because this driver, who was the respondent’s own employee and was “authorized” at least when he began his journey, went off on a frolic of his own before getting drunk or incurring the accident. The parties may have intended that in such a case the liability for damage by “malicious act” should prevail; or they may have intended that the exemption in the case of drunken driving should prevail. Neither intention is inconceivable or even manifestly improbable. That being so, their intention must be inferred from the words that they used, which provided that the liability for damage by malicious act shall be subject to the exemption in the case of drunken driving.

That brings me to the second and alternative ground on which I think this appeal should be allowed. For, even if I am wrong in my view that the exemption clause should prevail over cl. 1 (c) in the case of this accident, assuming both clauses to apply and the two being in conflict, the present case is one in which, with the greatest respect to the reasoning of my learned brother, who has carefully considered the point, I do not think that any liability would arise under cl. 1 (c) at all. 1 refer to the question whether the "malicious act" of the driver in taking the car for a frolic of his own was a proximate cause of the total loss of the car; and I would here agree that a "proximate" cause is not necessarily the latest cause. A causa sine qua non the act certainly was, as my learned brother has observed. But it seems to me that this is all that it was. The accident occurred while the driver was doing a malicious act, no doubt, but not wholly or even partly because he was doing one. It occurred because he was drunk. Had he remained sober, there is no reason to suppose that he was more likely to meet with an accident when driving on road X while not on his master's business than if he had been driving on road Y while upon his master's business. Conversely, he might as easily have wrecked the car while drunk, even if he had been about his master's business at the time. Accordingly, to my mind, the fact of the frolic, although that particular accident would not have taken place without it, was not a predisposing or proximate cause of the accident. Secondly, had the driver returned safe and sound from his frolic, no claim would have accrued, notwithstanding he had been committing a malicious act, since no loss or damage would have been occasioned by that act. The damage occurred at the moment of the accident, and not before. There can therefore be no question of the company's liability under cl. 1 (c) enuring or crystallizing before the driver became drunk or the accident occurred, and thus before the exemption under the "warranty" could come into operation; for the company was not liable for the malicious act, but only for loss or damage caused by the malicious act. In this respect also, although it does not fall to this court to decide the point, the position might well be different if the driver had set out on his journey with the intention of stealing the car. For in such a case the car might be held to have been lost through theft, a theft which occurred at the inception of the journey, since ex hypothesi there would never have been any intention to return it; and the company's liability might, though I do not say it would, be held to have crystallized at that moment, to the exclusion of the as yet inoperative exemption clause under the warranty.

But that is academic. To return to the facts of this case, the company ought in my view to be held not liable, and the appeal ought accordingly to be allowed, on either of two grounds. First, on the ground that the "warranty" alone applies, cl. 1 (c) being inapplicable because the driver's "malicious act" was not a proximate cause of the accident. Secondly, on the ground that, even if cl. 1 (c) does apply, then the "warranty" prevails over it. For these reasons, and with the greatest deference to my learned brother, from whose views I differ only after the most careful consideration, I would hold that the judgment of the court below should be set aside, the respondent's claim dismissed, and this appeal be allowed with costs. Since the "warranty", on the strength of which the appellant ought in my view to have succeeded below if he had discovered it in time, was overlooked by him through no fault of the respondent, I would make no order for costs in the court below.

Crawshaw C J: I have had the advantage of reading the judgments of my brother judges and, in agreeing with the arguments of Gould, Ag. V.-P., I have reluctantly come to a conclusion different from that of Windham, J.A. The relevant facts are not in dispute. They are that the insured had directed his driver to take his car to a garage and leave it there, but that the driver failed to comply with this direction and without authority drove the vehicle a long distance, during the course of which he became intoxicated and met with an accident which caused very extensive damage to the car. He was subsequently charged with and convicted of conversion not amounting to theft under s. 284 of the Penal Code.

One of the grounds of appeal was based on whether the driver was a person authorised to drive the car within the meaning of the policy. This ground was abandoned (although for purposes of argument I shall consider it later) and the only question now for decision is whether the insobriety of the driver is a defence to the claim. Endorsed on the policy is a so-called "Warranty" which reads as follows:

"It is hereby understood and agreed that the company will not be responsible for the accident and/or any damage and/or claims of any nature when the vehicle is driven by a person who is not sober and/or under the influence of alcoholic drinks, liquor, or drugs".

This exception was not referred to in the written statement of defence and had not apparently been noticed by counsel for the appellant at the trial, and judgment was given for the insured on the basis of damage resulting from a "malicious act", which was one of the perils contained in the indemnity clause (cl. 1 (c)). The defence of insobriety has however been allowed to be added on appeal. There is no doubt I think that conversion constitutes legal malice and would be a malicious act within the meaning of cl. 1 (c). In Bromage v. Prosser (5) (1825), 4 B. & C. 255, which was a case of malicious slander, Bayley, J., (to whose judgment the learned trial judge referred) held that there were two sorts of malice, malice in fact and malice in law, and said,

"Malice in common acception means ill will against a person but in its legal sense means a wrongful act, done intentionally, without just cause or excuse."

I had at first formed the view that "malicious act" meant some act the motive of which was to cause, or be likely to cause, loss of or damage to the car, such as throwing stones, releasing the brake on a hill, or theft, but on reflection I think it is not necessary to place so limited a construction on the expression, which is in unqualified terms.

So far as it is not clearly inconsistent with the intention of the parties, each of the paragraphs in cl. 1 must be read as being subject to the exceptions and conditions. The question is whether the wrongful conversion governs the liability of the insured in the event of subsequent loss or damage, or whether one must look only to the position at the time of that loss or damage. If the latter, two considerations would arise, firstly, was the driver authorised, and secondly was he sober. The learned trial judge held that although the driver was necessarily unauthorised at the time, the insurers could not call that in aid. To do so in the case of theft would certainly be entirely inconsistent with the peril insured against, and also I think in the case of wrongful conversion, for both perils have it in common that the car is taken out of the possession and control of the insured and without his knowledge or consent.

Much the same argument can be offered I think to the other exception, insobriety. The exception incidentally does not stipulate that the insobriety must be the cause of the accident, although in this case it probably was; it is in absolute terms no doubt because of the difficulty of proof which would otherwise be likely to arise. To say that insobriety was the proximate cause may therefore be the wrong approach; it was not however considered necessary to make it an issue, and it seems tacitly to have been assumed that it was the immediate cause. To bring in this exception the driver must to my mind be in some relation to the insured. If a person steals a car and loss or damage ensues, it would in my view be absurd and outside the intention of the parties that some other factor should be allowed to account for such loss or damage. I can see no real difference in principle in the case of wrongful conversion. Here again I had at one time thought the two could be distinguished on the basis that theft creates an immediate loss, although the loss might subsequently be recovered. I think however that this is the wrong view whatever the intent of the thief and the criminal aspect, and that from the practical point of view of an insurance policy, which is only interested in material loss or damage, there is really no difference between theft and wrongful conversion. In each the peril is the malicious act of wrongfully dispossessing the insured of his car and in each the loss or damage, if any, is necessarily subsequent to the wrongful act; a stolen car might be stopped and recovered after it has been taken only a few yards. The fact that theft is specifically named in cl. 1 (b), whilst conversion is included in the general para. 1 (c), makes no difference. The parties could not I think have intended the insobriety exception to apply in such circumstances, for the exception is in my opinion incompatible with these particular perils insured against and could not reasonably be applied.

I have considered the fact that the driver was the paid employee of the insurer and at the inception of the journey had authority to drive the car away. I do not however think that this affects the matter, for there is no doubt that at the time of the accident there was wrongful conversion. One can envisage difficult cases of fact involving the questions of when the conversion actually took place, or whether there had been a malicious act at all, such as where the driver had merely driven to his proper destination by a less direct route than the normal; but, as I say, no such difficulty arises here.

Assuming the insobriety of the driver to have been the immediate cause of the accident then I would say that, for the reasons I have given, the dominant and operative cause was the wrongful taking of the car, as it would be in theft, even though the subsequent insobriety was more proximate in time. As is said in Preston and Colinvaux on The Law of Insurance at p. 85, "common sense is the final arbiter in determining what is the proximate cause of a loss".

To my mind it cannot have been contemplated by the parties to a comprehensive motor car insurance policy that if the insured was wrongfully dispossessed of his car his indemnity for subsequent loss or damage might be prejudiced by some further and additional wrongful act of the wrongdoer.

For these reasons I would dismiss the appeal with costs.

Appeal dismissed.

For the appellant:

W. J. Lockhart-Smith, Dar-es-Salaam

For the respondent:

Donaldson & Wood, Tanga

R. N. Donaldson

S R D'Souza and others v C C Ferrao and others

[1960] 1 EA 602 (CAN)

Division: Court of Appeal at Nairobi

Date of judgment: 21 July 1960

Case Number: 57/1959

Before:Sir Kenneth O'Connor P, Gould Ag VP and Windham JA

Nasser Mohamed Omer v Prudential Assurance Co Ltd

[1966] 1 EA 79 (CAN)

Division: Court o Appeal at Nairobi
Date of ruling: 22 March 1966
Case Number: 55/1965
Before: Newbold Ag VP, Duffus and Spry JJA
Appeal from: The Supreme Court of Aden – Goudie, J

Insurance – Motor insurance – Policy providing indemnity for accidental collision – Employee deliberately drove car into sea – Car recovered from sea – Car damaged because of immersion in salt water – Whether loss of car due to "accidental collision" – Definition of "collision".

Editor's Summary

The appellant claimed that he was entitled to an indemnity from the respondent company against the loss of his motor car, which the trial judge indicated had been driven deliberately into the sea by an employee of the appellant. The insurance policy provided that the respondent would indemnify the appellant against loss or damage to the motor vehicle by accidental collision. The basis of the appellant's claim was that the car accidentally went into the sea and was damaged. It was common ground that the driver was acting in the course of his employment. The trial judge dismissed the suit on the ground that the appellant had failed to prove that the loss or damage was due to accidental collision. On appeal it was argued that there had been a collision, that it had been accidental, and that the damage the car suffered from immersion in salt water was a direct result of the collision.

Held –

(i) the entry of the car into the sea was not an "accidental collision" and accordingly under the terms of the policy the appellant was not entitled to claim any indemnity for the loss of the car;

(ii) the entry of the car into the sea was not accidental as it had been driven deliberately by the employee of the appellant into the sea and the act of the employee must be regarded as the act of the appellant, even though the appellant had no knowledge of it.

Per Spry, J.: "a collision" is an impact importing at least some degree of violence.

Per Newbold, P.: "an accident" is an occurrence which, in relation to the insured, is neither intended nor expected nor so probable a result of a deliberate act that the result must have been foreseen as a probable consequence of the act.

Per Duffus, J.A.: “accidental collision” does not include a collision which happens as a result of an act intentionally designed to cause a collision for the purpose of damaging the vehicle.

Appeal dismissed.

Cases referred to in judgment:

(1) Midland Insurance Co. v. Smith (1881), 6 Q.B.D. 561.

(2) Trim Joint District School Board of Management v. Kelly, [1914] A.C. 667.

(3) Lloyd v. Grace, Smith & Co., [1912] A.C. 716.

(4) Kisumu Trading Stores v. K. B. Shah (1965), 315 (C.A.).

(5) Barwick v. English Joint Stock Bank, [1867] L.R. 2 Ex. 259.

(6) Houldsworth v. City of Glasgow Bank (1880), 5 App. Cas. 317.

(7) Union Marine Insurance Co. v. Borwick, [1895] 2 Q.B. 279.

(8) Mancomunidad del Vapor Frumiz v. Royal Exchange Assurance, [1927] 1 K.B. 567.

(9) The Normandy, [1904] P. 187.

(10) Chandler v. Blogg, [1898] 1 Q.B. 32.

(11) Reischer v. Borwick, [1894] 2 Q.B. 548.

(12) Heskell v. Continental Express Ltd., [1950] 1 All E.R. 1033.

(13) Jupiter General Insurance Co. Ltd. v. Rajabali Hasham & Sons, [1960] E.A. 592 (C.A.).

(14) Re Etherington and the Lancashire and Yorkshire Accident Insurance Co., [1909] 1 K.B. 591.

(15) Fenton v. Thorley & Co. Ltd., [1903] A.C. 443.

The following judgments were read.

Judgment

Spry JA: The primary facts out of which these proceedings arose are not in dispute. The appellant was the owner of an Opel motor car, registered under number L 2651. This vehicle was usually driven by an employee of the appellant, one Mohsin Ali Saleh, and was being driven by him in the course of his employment on the evening of December 3, 1962. At about 9.30 or 10 p.m., Mohsin drove the car off the road onto the sea shore. He changed gear to mount the kerb and drove on the sand in low gear (either first or second). The sand was level at first, but then sloped downwards. Mohsin failed to stop the car and drove straight into the sea. It appears that the car was not recovered from the sea for three days, when it was regarded as a write-off.

The car was insured by the appellant with the respondent company and it appears that he reported the loss on the following morning, soon after he himself learned of it. He completed a claim form but eventually, after lengthy investigation, the company repudiated liability. The appellant then sued the company in the Supreme Court of Aden claiming Shs. 11,000/- as the estimated value of the car and Shs. 10,770/- as consequential loss. The basis of the claim was that the car "accidentally went into the sea on 3.12.62 and was damaged and was a total loss." The defence was a denial that the car "accidentally went into the sea as alleged or at all".

Two issues were agreed, the first whether it was proved that the car sustained damage by "accidental collision" within the meaning of s. 1, para. 1(a) of the policy of insurance and the second, if the answer to the first issue was in the affirmative, what sum the appellant was entitled to recover.

Section 1, para. 1(a) of the policy reads as follows:

"1. The Company will indemnify the Insured against loss of or damage to the Motor Vehicle and its accessories and spare parts whilst thereon (a) by accidental collision or overturning or collision or overturning consequent upon mechanical breakdown or consequent upon wear and tear."

The evidence called by the appellant included that of the driver and of a person who was a passenger in the car at the time when it was lost and it was sought to prove that the loss of the car was due to the failure of its brakes. The respondent company called evidence to show that the brakes were examined after the car was recovered from the sea and that they were in reasonably good working order. The cross-examination of the appellant's witnesses was clearly aimed at showing that the loss of the car was deliberately contrived.

The learned trial judge held that to succeed the appellant had to show in the first place that the loss of or damage to the car had been caused by a collision or overturning. He pointed out that there was no evidence to show that the car overturned. He doubted whether the car could be said to have "collided" with the sea but held that it was immaterial as the loss or damage was not the result of the "collision" but of immersion in salt water.

He went on to remark that an attempt had been made at a late stage to base a claim on another sub-paragraph of the policy relating to damage caused "by malicious act" but rejected this as being contrary to the claim in the plaint and to the whole conduct of the appellant's case.

He went on to say that the appellant had failed to satisfy him that the loss or damage was accidental. Having inspected the scene, the learned judge found it "extremely difficult to envisage how the driver in first or second gear could have taken a straight path into the water accidentally. When he released his accelerator his gear would have acted as a brake and he could at least have taken some form of avoiding action even if his brakes failed." He went on to say that he saw no reason to believe that the brakes had failed, as he was satisfied that they were in order immediately after the car was recovered from the sea.

Finally, he held that under the terms of the policy the company was not liable for consequential loss. The memorandum of appeal included an appeal against this finding but it was abandoned at the hearing.

Counsel who appeared for the appellant, argued that there had been a collision, that it had been accidental, and that the damage the car suffered from immersion in salt water was a direct result of the collision and not so remote as to preclude the appellant from succeeding.

He began by dealing with the question whether what had occurred had been accidental. He submitted, in the first place, that the learned judge's remarks (there was no express finding) indicated nothing more at the worst, than gross negligence on the part of the driver of the car. Even, however, if they were to be construed as a finding of wilful misconduct on the part of the driver, that, in counsel's submission, would not prevent the loss being "accidental" in relation to the owner, provided he had not been shown to be party or privy to the act. He relied particularly on Midland Insurance Co. v. Smith (1), in support of this submission. It had never been part of the company's case that the appellant had been party or privy to any act of wilful misconduct. He cited also Trim Joint District School Board of Management v. Kelly (2) as authority for saying that an act done deliberately may still be an accident in relation to the person who suffers from it.

Counsel for the company took a different view. In his submission, the learned judge's observations could only mean that he believed the driver of the car deliberately drove it into the sea. He argued that if the driver was acting deliberately, but not maliciously towards his employer, he should be deemed to have been acting in the course of his employment in which case his motive would be imputed to his employer.

In the alternative, counsel for the company argued that the word "accidental" has to be read in its context in the policy and must be given a meaning. He stressed that while the policy provided for loss by accidental collision or overturning, it provided for loss by fire without any requirement that it be accidental. He pointed out also that under the terms of the policy it is the collision and not the loss that must be accidental. He sought to distinguish Midland Insurance Co. v. Smith (1), since the policy in that case was against loss by fire, and did not require the fire to be accidental in origin. The Trim Joint District School case (2) was a case under the Workmen's Compensation Acts in which the operative expression was "injury by accident"; the present policy deals with loss by accidental collision, not accidental loss by collision, and Mr. Deverell argued that the distinction is sufficiently real to justify this court following the minority judgments in the Trim Joint District School case (2).

For my own part, I entertain no doubt that the remarks of the learned judge amount to a finding that the driver of the car deliberately drove it into the sea. In my opinion, there was evidence on which he could properly come to that finding and I see no reason to interfere with it. There was no finding, and no evidence on which a finding could have been based, as to the reason for this action but certainly it was no part of the appellant's case, nor was there any suggestion in the evidence, that the driver was acting out of malice towards his employer.

Learned counsel were not able to refer us to any authority on the law of master and servant in relation to a situation such as this, nor am I aware of any. It is therefore necessary to go back to basic principles. It is the general rule that a master is liable to a third party for the tortious act of his servant, if that act is done in the course of the servant's employment, even though the tortious act was done without the authority of the master and the master derived no benefit from it. The general authority for this statement is Lloyd v. Grace, Smith & Co. (3), which was recently followed by this court in Kisumu Trading Stores v. Shah (4).

Logically it would seem, by parity of reasoning, that a master ought not to be able to base a claim against a third party on a tortious act of his servant, acting in the course of his employment. It should be borne in mind that the liability of the master is not based on any imputation of vicarious fraud but simply on the law of agency (Barwick v. English Joint Stock Bank (5); Houldsworth v. City of Glasgow Bank (6); Lloyd v. Grace, Smith & Co. (3)). Here, it seems to me, the act of the servant, if done in the course of his employment, must be regarded as the act of the master. I have no doubt, and indeed it never seems to have been challenged, that the driver, Mohsin, was acting in the course of his employment when he drove onto the sand. He said himself that it was part of his duty to transport labourers coming ashore from dhows and that when awaiting them he used to park the car at this spot. It cannot, in my view, possibly be argued that in going a few yards further than he should and entering the water, he ceased to be acting in the course of his employment. He had not gone off on any business or "frolic" of his own: up to the very moment when the car entered the water he was engaged on his employer's business. If he drove deliberately into the water, that act must, in my view, be regarded as the act of the appellant even though the appellant may have had no knowledge of it and as the act of the appellant it would be a wrongful act, on which he could not rely, as against the company, and he could not be heard to argue that the event was accidental.

It is, therefore, unnecessary for me to consider counsel for the respondent's alternative argument, but I may say that in my view, on the authorities, the happening might well have been "accidental" as regards the appellant, had the relationship of master and servant not existed, even though it might not have been fortuitous or undesigned.

Counsel for the appellant's next submission was that there had been a collision. On this, as I have said, the learned judge made no express finding but contented himself with expressing a considerable doubt.

Counsel were in agreement that there is no authority defining the meaning of "collision" in relation to motor insurance, and both referred to cases arising out of marine insurance. Counsel for the appellant relied in particular on Union Marine Insurance Co. v. Borwick (7), in which Mathew, J., used the expression "I cannot distinguish collision with from striking against", but, as Roche, J., said in Mancomidad del Vapor Frumiz v. Royal Exchange Assurance (8), "those words must be read in strict regard to the clause he was considering".

Counsel for the respondent company relied on The Normandy (9) in which Gorell Barnes, J., said "I may here observe that the true meaning of collision is not a mere striking against, but a striking together". Counsel for the respondent asked us to apply that strict interpretation. In the alternative, he submitted that in ordinary usage "collision" means more than mere contact and that it is a matter of degree when a contact is sufficiently violent to warrant describing it as a collision.

I am prepared to accept that, etymologically, a collision is the coming together into impact of two objects and that that definition is followed in marine insurance cases, where the word is used in a policy without qualification or explanation, so as to limit its use to collisions between ships, although enlarged to this extent, that it applies where the one vessel is moving and the other, although capable of navigation, is at anchor or temporarily immobilised (Chandler v. Blogg (10); The Normandy (9)).

I do not, however, propose to deal with the marine cases in any detail, because I do not consider that they should be followed in motor insurance cases, because marine insurance is a highly specialised subject and because the law of marine insurance took shape long before motor cars came into general use. It may, however, be noted that while the word is strictly interpreted where it is used without qualification in a marine policy, it is in practice frequently given a wider application in marine policies by references to collision with piers and similar objects.

In the absence of any authority or evidence to the contrary, the words used in any contract must be given their ordinary, current, meaning. In my view, the word "collision" has acquired, in ordinary usage, a meaning wider than the strict etymological sense and I see no reason to suppose that the parties to a contract of motor insurance would have intended to import principles of marine insurance. I do not propose to attempt any exhaustive definition of a collision. A collision is undoubtedly an impact and in my view it imports at least some degree of violence. I think one might, in modern motoring parlance, refer to colliding with a tree. I think a motor car might, in certain circumstances, be said to collide with a body of water. But where the substance encountered is of a yielding nature, the degree of violence necessary to establish a "collision" can only come from the speed of the vehicle. So, where a motor car is driven slowly into the sea, and I think it is clear in the present case that the car was moving very slowly indeed, it would, to my mind, be an abuse of language to describe the contact as a collision.

In my opinion, therefore, what happened was neither accidental nor a collision.

Counsel for the appellant's final submission was that the learned judge erred when he said:

"I doubt very much, however, whether the contact of the vehicle with the sea amounts to a 'collision' but in any case it cannot be said that the loss or damage arose by (reason of) such contact. It was the fact that it remained in the salt water after the contact that caused the loss or damage."

Counsel for the appellant submitted that if there was a collision and if it had been accidental, the damage caused by the sea water was not too remote to be recoverable. He cited in support of his argument Reischer v. Borwick (11) and Heskell v. Continental Express Ltd. (12).

Counsel for the company contended that there was no evidence that the impact with the water had caused any damage; he argued that the slow action of salt water could not be damage caused "by" the collision, assuming there had been a collision. He was prepared to concede, if I understood him correctly, that if the car had been immobilized by damage sustained in the "collision", any ensuing damage before the car could reasonably be removed would be within the policy but he argued that if the immobility of the car was only the result of being in water, as for example by the shorting of its electrical supply, then there would be no direct chain of causation between the impact and the eventual damage.

This was not in my opinion a case of any fresh intervening occurrence, when it may be necessary to distinguish between the causa sine qua non and the causa causans (as in Jupiter General Insurance Co. Ltd. v. Rajabali Hasham and Sons (13)). The immersion in water followed directly and inevitably from the entry into the water.

In the case of Re Etherington and The Lancashire and Yorkshire Accident Insurance Co. (13), a fatal injury case, Vaughan Williams, L.J., said, ([1909] 1 K.B., at p. 599):

"Courts have in particular cases dealt with the question whether the peril insured against, whether peril of the sea or accident or fire, or whatever it might be, was the proximate cause of the loss or injury so as to bring the case within the operation of the policy. In my opinion, it is impossible to limit that which may be regarded as the proximate cause to one part of the accident. The truth is that the accident itself is ordinarily followed by certain results according to its nature, and, if the final step in the consequences so produced is death, it seems to me that the whole previous train of events must be regarded as the proximate cause of the death which results."

I would respectfully adopt that reasoning. Applying it to the present case, I think the damage caused by the sea water was a result which would ordinarily follow from the nature of the event on which the claim was based, that was, the entry of the car into the sea.

I have in this judgment dealt with the grounds of appeal in the order followed by counsel for the appellant. In summing up, it may be convenient to reverse that order. I think, with respect, that the learned judge was wrong when he held that the damage was too remote. Having so found, he did not think it necessary expressly to decide whether there had been a collision, although he clearly inclined to the view that there had not. For my part, I am quite satisfied that there was no collision. Finally, as I read the judgment, the learned judge held that the loss or damage had not been proved to be accidental. With that I agree, although basing my opinion on the existence of a relationship of master and servant.

I consider, therefore, that the decision of the learned judge was correct although I arrive at that result for different reasons, and I would dismiss the appeal with costs.

Newbold P: This appeal raises two short but extremely difficult points of law under a motor vehicle insurance policy. In their briefest form, the facts which give rise to these two points of law are that the servant of the appellant deliberately drove the appellant's car slowly into the sea where it remained for some days, and by reason of the action of the sea on the car, but not by reason of any impact damage, the appellant suffered loss. The appellant was insured against damage to his motor vehicle arising "by accidental collision".

The first point of law is whether in the circumstances set out any collision was accidental; and the second is whether the entry of the car into the sea was a collision.

The full facts in relation to this appeal are set out in the judgment of Spry, J.A., and I find it unnecessary to repeat them. The trial judge held that the appellant was not entitled to recover from the respondent, an insurance company, the amount of the damage as the loss did not flow from any collision; and he also held that if there had been a collision, which the trial judge doubted, it had not been accidental. From that judgment the appellant appealed.

Dealing with the first point, the word accident has different meanings in different contexts. The context in which it falls for consideration in this appeal is where an insurance company has agreed to indemnify an insured person against damage to a motor vehicle arising "by accidental collision". In that context after careful consideration I am satisfied that an accident is an occurrence which, in relation to the insured, is neither intended nor expected nor so probable a result of a deliberate act that the result must have been foreseen as a probable, consequence of the act. Thus any damage which is deliberately caused by, or with the privity of, the insured cannot be said to be damage arising by accident, as the insured, either by himself or by another person acting with his knowledge, specifically intended to cause the damage and it could never have been the intention of the parties that the insurance company would give an indemnity against damage so caused. On the other hand, if a third person, for whose actions an insured is not in law responsible, deliberately causes damage to the motor vehicle, then that damage is, in relation to the insured, damage arising from an accident. Between these two positions there is yet an intermediate one, that is, where the damage arises from the deliberate act of the servant of the insured but the act was not done with the knowledge of the insured.

Broadly stated, a master is liable in contract for the acts of his servant done within the apparent scope of his authority and in tort for the acts of his servant done in the course of his employment. As far as liability in tort is concerned, there has been no doubt for a very long time that the master is liable for the negligent act of his servant committed in the course of his employment; but his liability for the criminal act of his servant has been one in which there have been conflicting decisions. As far as East Africa is concerned, these conflicts have been resolved by the case of Kisumu Trading Stores v. Shah (4) in which this Court decided that the master was liable for the criminal act of his servant committed within the course of his employment. As the master is liable for the negligent and the criminal act of his servant committed in the course of his employment, I can see no logical reason why he is not also liable for the deliberate act of his servant committed in the course of his employment, even if that deliberate act is neither negligent nor criminal. When I speak of the master being liable for the deliberate act of his servant, I use the phrase in the sense that the act of the servant is treated for all purposes of the legal relationship of the master with a third person as if it were the act of the master himself. As the master is so liable, the result which follows is that if his servant, in the course of his employment, deliberately causes damage to his master's car and the master is insured against damage arising from accident, then the master will not be able to recover the loss arising from the servant's deliberate act as that act, in relation to the insurance company, is treated as the master's act. I would wish, however, to make it clear that damage caused by the deliberate act of a servant is only to be treated as damage caused by the deliberate act of the master if the act of the servant is committed within the course of his employment. This, of course, will be a question of fact. There may be many circumstances in which the nature of the act which gives rise to the damage would itself immediately result in the act being outside the course of the employment, with the result that the damage would not arise from an act done by the servant in the course of his employment. For example if the servant, whose duties are to maintain and drive his employers' car, were deliberately to set fire to the car with a view to harming his employer or were deliberately to drive the car into a wall with the object of causing loss to his employer, then in each of such cases the acts of the servant preparatory to setting fire to the car or driving the car into the wall would automatically be outside the course of employment. The result would be that the damage, though deliberately caused by the servant, would nevertheless be damage arising by accident within the terms of a policy of insurance as far as the master was concerned. In other words, the act of the servant in these circumstances stands in precisely the same position as deliberate acts of a person for whom the insured is not in law responsible.

With those principles in mind what are the facts to which they are to be applied? It was urged that the trial judge had not made a finding that the appellant's servant deliberately drove the car into the sea. In my view such a finding is a necessary inference from the way in which the trial judge set out his judgment and, indeed, there was an abundance of evidence to support it. The surrounding circumstances in which this deliberate act was done lead clearly to the inference that the act was done in the course of the servant's employment. This being so the act of the servant in deliberately driving the car into the sea is the act of the appellant unless the appellant can show circumstances from which it should be inferred that the course of employment was terminated before the car was driven into the sea. This he has neither done nor sought to do. Accordingly I have come to the conclusion that even if the entry of the car into the sea was a collision it was not an accidental collision and therefore the appellant is not entitled to succeed.

As I have decided the first point of law against the appellant I do not propose express a view on the second point. I find it a matter of considerable difficulty to determine whether the coming of a car into contact with water in circumstances in which the contact does not itself cause damage can be said to be a collision within the meaning of such a word used in a motor vehicle insurance policy. There are arguments each way which are very potent. As it is unnecessary to decide the point of this appeal I would rather reserve it for consideration when such a point is necessary for the determination of an appeal. I would wish, however, to say that if it were a collision then I consider that the damage caused to the car in this case arose from the collision and not subsequently thereto as the trial judge has found.

For these reasons I agree with Spry, J.A., that the appeal fails and there will be an order in the terms proposed by him.

Duffus LJ: The appellant owned a motor car insured with the respondent company. The appellant avers that his car accidentally ran into the sea and became a total loss and he claims the value under his insurance policy. The respondent company denied liability. Pleadings were filed and issues agreed on and the main issue between the parties was:

"Does the plaintiff prove that the motor car sustained damage by 'accidental collision' within the meaning of s. 1(a) of the policy."

Section 1, para. (1) of the policy reads:

"Section 1 – Loss or Damage

1. The Company will indemnify the Insured against loss of or damage to the Motor Vehicle and its accessories and spare parts whilst thereon

(a) by accidental collision or overturning or collision or overturning consequent upon mechanical breakdown or consequent upon wear and tear;

(b) by fire external explosion self-ignition or lightning or burglary housebreaking or theft;

(c) by malicious act;

(d) whilst in transit (including the processes of loading and unloading incidental to such transit) by road rail inland waterway lift or elevator."

I have had the advantage of reading the judgments of Newbold, P., and Spry, J.A. The relevant facts are set out in the judgment of Spry, J.A.

There were three points for decision under the agreed issue and these were had the plaintiff established:

(a) that the incident of driving the car into the sea was a "collision" within the meaning of s. 1(1) of the policy.

(b) that this was accidental within the meaning of an "accidental collision" as set out in the policy, and

(c) that the car sustained damage as a result.

The learned trial judge found that the damage to the car was not as a result of the collision, in the sense of the collision being the immediate impact with the sea, but resulted because the car remained in the salt water after the impact. On this finding he dismissed the plaintiff's claim but he also went on to say that in his opinion the fact that the vehicle went into the sea would not amount to a collision, and he also found that the plaintiff had not proved that the entry into the sea had been accidental.

The words "accidental collision" must be given their ordinary and natural meaning having regard to the whole insurance policy and in particular to para. 1 which I have already set out. I would first consider the meaning of collision and as to whether a motor car can collide with the sea. The word has been defined and considered in a number of maritime cases but apparently not in cases dealing with motor vehicle insurances. The ordinary meaning of collision as used with reference to a vehicle would, in my view, mean an impact between the vehicle and some other object. There has to be some movement but this could be movement either by the vehicle itself or by the object that it comes into contact with. Thus it is a collision if the motor car skids and hits a bank or a tree and similarly it would be a collision between both vehicles if one vehicle ran into a stationary vehicle. I think that collision as used here does not necessarily mean a violent collision provided, however, that the collision causes loss or damage to the motor vehicle. If it is agreed, as it must be, that a collision can occur with a stationary object such as a bank or a tree I can see no reason to distinguish between a solid object and a liquid body such as the sea or a lake. Each object is capable of total destruction of the car and indeed a collision with a fluid body may be much more disastrous to the occupants of the vehicle and the vehicle itself. Thus in the present case the car ran into the sea and became totally submerged and as a result was a total loss; if a collision could only be with a solid substance then the insured is not indemnified for his loss, but he would be indemnified if instead of falling into the sea the car had fallen onto a reef in the sea and suffered damage. It is interesting to note that the counsel for the appellant owner was, at one stage of the trial, led into the artifice of suggesting, that the vehicle collided with stones on the way to the sea. I am therefore of the view that a car can collide with a liquid substance whether it be the sea, a quagmire or a similar object, and this collision would be covered by the indemnity in the policy provided that damage is caused to the vehicle, and that it was accidental.

I have had much more difficulty in arriving at a decision on the question as to whether this incident could be described as accidental. The defence alleged that the driver, an employee of the appellant, deliberately drove the car into the sea. The defence did not, however, allege that the appellant was privy to this act. The learned judge has made no direct finding as to whether the driver's act was negligent or deliberate but he found that the appellant had not satisfied him that the act was accidental, and it does appear that his judgment amounts to a finding that the driver deliberately and intentionally drove the car into the sea.

Counsel for the appellant submitted that the act, even if deliberately done by the appellant's driver, would still be accidental to the owner unless he was privy to this act. He relied largely on the majority decision of the House of Lords in the case of Trim Joint District School Board of Management v. Kelly (2), where the House of Lords were considering the meaning to be placed on the word "accident" in the sentence "a personal injury by accident" in a claim under the Workmens Compensation Act and where the majority of the court held that a designed or intentional act could be an injury by accident provided that the act was not one designed by the injured person. The court in effect adopted the definition of "accident" given by Lord Macnaghten in the case of Fenton v. Thorley (15) ([1903] A.C. at p. 676), that "accidental" as used in the Act meant:

"in the popular and ordinary sense of the word as denoting an unlooked-for mishap or an untoward event which is not expected or designed."

but added the proviso that the event was not one expected or designed by the person injured.

The meaning to be given to the word "accidental" can vary according to its use. I would in this respect refer to the following passage from the judgment of Viscount Haldane, L.C., in the Trim case (2) when he stated ([1914] A.C. at p. 674):

"It seems to me important to bear in mind that 'accident' is a word the meaning of which may vary according as the context varies. In criminal jurisprudence crime and accident are sharply divided by the presence or absence of mens rea. But in contracts such as those of marine insurance and of carriage by sea this is not so. In such cases the maxim 'In jure non remota causa sed proxima spectatur is applied.

It is therefore necessary, in endeavouring to arrive at what is meant by 'accident,' to consider the context in which the word is introduced. The scope and purpose of that context may make the whole difference."

The basic rule in interpreting the policy is to ascertain what was the intention of the parties from the document itself. Section 1 of the policy provides for loss or damage to the vehicle, and para.

1, which I have already set out in full, sets out the occasions on which the Insurance Company will indemnify the insurer against the loss or damage to his car. The indemnity takes effect when the loss or damage is caused by any of the incidents set out under the four sub-heads. Each of these sub-heads deals with different causes of the loss or damage; thus:

(a) deals with an accidental collision or overturning,

(b) with a fire, explosion, or theft, etc.

(c) by a malicious act, and

(d) whilst a vehicle is in transit.

I think that the draftsman of the policy intended that each sub-head should cover damage caused in different ways. We are particularly concerned here with the meaning of "accidental collision" under (a) and "by malicious act" under (c) Malicious act here must mean a deliberate and unlawful act intended to cause damage to the vehicle. It would appear that the word "accidental" as used under sub-head (a) must have been used in the popular meaning of something that happens by chance, an unintended or undesigned act. I would here quote a short passage from the judgment of Lord Dunedin, one of the minority judgments in the Trim case (2) ([1914] A.C. at p. 686) which aptly explains the meaning which I believe was intended for "accidental" in the context of this policy:

"It must be conceded that the injury here was caused by design. That is to say, there was an intention to inflict an injury. To my thinking, the word 'accident' in popular language is the very antithesis of design. I brush aside at once all argument as to acts which can only be described as acts by design inasmuch as they are acts of conscious volition. The design of which I speak must be design to inflict the injury, not design to do the act which may, as it turns out, be the cause of the injury."

In the Trim case (2) the court were considering an interpretation to be made under an entirely different context to that contained in this insurance policy. It appears to me that in the present case the author of the document used the word "accidental" as governing collision in its popular meaning of something not done intentionally, that is, collision that happens without intention or design, and then went on to provide by sub-head (c) for those acts which were intentional or designed to cause damage to the vehicle.

I am therefore of the view that "accidental collision" does not include a collision which happens as a result of an act intentionally designed to cause a collision for the purpose of damaging the vehicle. In this case the learned judge has found that the plaintiff has not satisfied him that this was an accident and as I have said, his judgment in my view, amounts to a finding that this was a deliberate and designed act on the part of the driver and it must also mean that the driver intentionally drove into the sea in order to damage the vehicle. There was, in my view, ample evidence to support this finding.

This would not, therefore, be an accidental collision within the meaning of s. 1 para. 1(a) of the policy as the appellant claimed, but it would be a case where damage has been caused to the vehicle by a malicious act under para. 1(c). The appellant, however, specifically brought his claim under para. 1(a) relying on the fact that the entry into the sea was accidental. It is difficult to understand why he did not also claim in the alternative under sub-head (c) for damage by a malicious act but he has not done so and even at the hearing of this appeal he specifically abandoned a ground of appeal on this point, and only argued on his claim that this was an accidental collision.

It may be, of course, that he did not claim that it was a malicious act as he was afraid that the respondent company might then have pleaded and proved that he was a privy to this malicious act. In any event the appellant has not claimed for any damage under sub-head (c), and it is now too late to make this claim. I agree with the learned judge that the onus is on the plaintiff to prove that this was an accidental collision and that the plaintiff has, on the facts that he has found, failed to do so and for this reason I agree that the claim was correctly dismissed.

I have not therefore found it necessary to consider the further point as to whether the appellant could have based the claim against the insurance company on the tortious or criminal act of a servant acting in the course of his employment. In my view, this question does not arise here, and in any event, the policy would under para. 1(c) indemnify the insured for a malicious act done by his servant, even if done in the course of his employment, provided that the insurer was not a privy to this act. However, as I have said, the appellant has not made any claim under this head.

I agree entirely with my brother Spry's judgment on the question of the damage caused by the sea water. In my view the damage caused by the sea water followed as an ordinary consequence of the entry of the car into the sea. I agree therefore that this case was correctly dismissed by the judge although my reasons for this decision are different from the judge's and also different from those of the learned President and Spry, J.A. I agree that the appeal be dismissed with costs.

Appeal dismissed.

For the appellant:

Ashraf Khan and W. H. Ansari, Aden

For the respondent:

Horrocks, Williams & Beecheno, Aden

W. S. Deverell

Tarlok Singh Nayar & another v Sterling General Insurance Company Ltd

[1966] 1 EA 144 (SCK)

Division: Supreme Court of Kenya at Nairobi
Date of judgment: 21 May 1964
Case Number: 1080/1963
Before:Chanan Singh J
Sourced by: LawAfrica

Insurance – Motor insurance – "Authorised driver" driving with insured's consent – Judgment obtained by third party against authorised driver only – Whether right of indemnity enforceable by authorised driver against insurance company under an implied trust.

Contract – Motor insurance – Parties – Enforcement by stranger under an implied trust.

Estoppel – Estoppel by conduct – Insurance company defending claims against authorised driver – Admission of a point of law not a basis for estoppel.

Editor's Summary

The defendant insurer issued a comprehensive motor insurance policy to the first plaintiff (called "the insured") by which it agreed to "indemnify the Insured . . . against all sums which the Insured shall become legally liable to pay . . ." and also, for a further consideration, agreed to "indemnify any Authorised Driver . . .". The insured lent the car to the second plaintiff, who was driving it as an authorised driver under the policy, when it was involved in an accident in which a passenger was injured. The passenger recovered damages and costs from the second plaintiff, the insurers having taken over his defence. The insured and the second plaintiff sued the insurers claiming a declaration that the insurers were bound to indemnify them in respect of all liability they were or may be under to the passenger. The insurers defence was based on the absence of any legal liability incurred by the insured and on the want of privity of the second plaintiff with the insurers under the policy. The plaintiffs attempted to found an estoppel on the fact that the insurers conducted the second plaintiff's defence against the claims of the injured passenger. The insured gave evidence that he could have saved part of the premium by insuring the car for his personal use only.

Held –

(i) the insured, having entered into the contract of insurance on his own behalf and on behalf of the authorised driver, could sue on it either as a party or as a trustee for the authorised driver;

Williams v. Baltic Insurance Association, [1924] 2 K.B. 282: All E.R. Rep. 368 followed.

Vandepitte v. Preferred Accident Insurance Corporation, [1933] A.C. 70 distinguished.

(ii) the second plaintiff, being a stranger to the contract, could not himself sue on it, although he could sue through the insured as his trustee or direct if the trustee refused, but this point did not arise because the insured/trustee was the first plaintiff;

Kshirodebihari Datta v. Mangobinda Panda (1934), 61 Cal. 841 disapproved.

(iii) the insurers' conduct in taking over the second plaintiff's defence amounted to an admission on a point of law and could not found an estoppel in the present action.

Declaration as prayed. Judgment for the plaintiffs as prayed.

Cases referred to in judgment:

(1) Tweddle v. Atkinson (1861), 121 E.R. 762.

(2) Dunlop v. Selfridge, [1915] A.C. 849.

(3) Smith v. River Douglas Catchment Board, [1949] 2 K.B. 500; 2 All E.R. 179.

(4) Scruttons v. Midland Silicones, [1962] 1 All E.R. 1.

(5) Kshirodebihari Datta v. Mangobinda Panda (1934), 61 Cal. 841.

(6) Jumna Das v. Ram Autar Pande (1912), 39 I.A. 7.

(7) Coward v. Motor Insurers Bureau, [1962] 1 All E.R. 531.

(8) Williams v. Baltic Insurance Association, [1924] 2 K.B. 282; All E.R. Rep. 368.

(9) Vandepitte v. Preferred Accident Insurance Corporation, [1933] A.C. 70.

(10) Colyer v. The Countess Mulgrave (1836), 48 E.R. 559.

(11) Davenport v. Bishop (1843), 63 E.R. 201.

(12) Leopold Walford v. Les Affréteurs Réunis Société Anonyme, [1918] 2 K.B. 498.

(13) Robertson v. Wait (1853), 8 Ex. 299.

(14) West v. Houghton (1879), 4 C.P.D. 197.

(15) The Nuova Raffachina (1871), L.R. 3, A. & E. 483.

(16) Muthuswami v. Loganatha (1935), A.I.R. Mad. 404.

Judgment

Chanan Singh J: The real point involved in this case is a short one: Can an "authorised driver" claim indemnity under a motor car insurance policy? The contention of the insurance company is that the policy is a contract to which only the insured is a party and only the insured can claim to be indemnified under it; if a person driving with the permission of the insured is involved in an accident, he cannot claim indemnity because he was not a party to the contract of insurance; the insured cannot claim it because he has incurred no liability.

Mr. Tarlok Singh Nayar, the first plaintiff, insured his car Peugeot 403 station wagon No. KGR 677 with the defendant company. I shall call the two parties the insured and the insurers respectively. The policy was a comprehensive one, not limited to the risks required to be compulsorily covered by the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405).

During the currency of the policy the insured lent his car to Mr. Inderpal Singh, the second plaintiff, whom I shall call the claimant. The car was involved in an accident while being driven by the claimant on January 31, 1961, and Mr. G. S. Brar (a passenger in the car) was injured. Mr. Brar filed an action (Civil Suit No. 711 of 1962) against the claimant and two other parties, and was awarded damages amounting to Shs. 47,006/50 and interest and costs against the claimant who was also ordered to indemnify Mr. Brar in respect of the costs of the other two defendants.

The present suit claims (i) a declaration that the insurers are bound to indemnify both the insured and the claimant in respect of all liability they are or may be under to Mr. Brar or to the other two defendants sued by him in civil suit No. 711 and (ii) judgment for the amounts that the insured or the claimant have to pay in the said civil suit. Costs and interest are also claimed.

The defence of the insurers in effect is that the insured has incurred no liability in civil suit No. 711, the judgment being against the claimant alone, and that, therefore, the insured cannot, and does not need to claim indemnity for liability arising out of that case. The claimant has incurred liability but he, being a stranger to the contract of insurance, cannot claim indemnity because of the principle that a contract creates rights and liabilities personal to the parties and that strangers can claim no rights under the contract.

Section 2 of the insurance policy in this case (Ex. 1) deals with "Liability to Third Parties". Leaving out parts that are either not applicable or not in question, the insurers agreed in para. 1 to "indemnify the insured in the event of accident . . . against all sums . . . which the insured shall become legally liable to pay". Paragraph 2 reads: "In terms of and subject to the limitations of and for the purposes of this section the company will indemnify (a) any Authorised Driver who is driving the Motor Vehicle provided that such Authorised Driver (1) shall as though he were the insured observe fulfill and be subject to the Terms of this Policy insofar as they can apply (ii) is not entitled to indemnity under any other policy."

It seems clear that the insurer undertook to indemnify against "liability to third parties" two distinct persons, namely "the insured" and "any Authorised Driver". The policy even goes on to say that the insurer will indemnify "in respect of the liability incurred by such person" his personal representatives "in the event of the death of any person entitled to indemnity". The words used are "any person entitled to indemnity" and "such person". The indemnity was obviously intended to protect the estate of the insured and the estate of any authorised driver in case of death.

The schedule to the policy which gives various particulars and definitions appears to have been prepared in a moment of absent-mindedness because it defines the term "Authorised Driver" as "Any of the following: (a) The insured, (b) Any person provided on the insured's order or with his permission." The driver is required to have a current driving licence. Thus, while Section II of the policy makes a distinction between "the insured" and the "Authorised Driver", the schedule includes them both in the term "Authorised Driver".

This confusing definition does not, however, alter the operative part of the policy which contains a clear agreement to the effect that in the event of an accident the insurer would indemnify the insured and the authorised driver.

In the present case, there is evidence, which is uncontradicted and which I accept, that the claimant was at the material time driving the car with the permission of the insured. I find that he was an "Authorised Driver" within the meaning assigned to this term by the policy of insurance.

The condition that the driver must be in possession of a valid licence was complied with. The claimant produced his driving licence as an exhibit. There is also evidence, which I accept, that the claimant fully co-operated with the insurers in defending the civil suit the judgment in which has given rise to this claim.

Section 4(1) of the Insurance (Motor Vehicle Third Party Risks) Act (Cap. 405) makes it unlawful for any person "to use, or to cause or permit any other person to use" a motor car on a road unless there is in force a policy of insurance "in relation to the user of the vehicle by that person or that other person." Under s. 5(b), the insurance policy must be one which "insures such person, persons or classes of persons as may be specified in the policy in respect of any liability which may be incurred by him or them in respect of the death of, or bodily injury to, any person caused by or arising out of the use of the vehicle on a road."

Thus, the insurance policy to be valid under this Act must cover every person who uses the vehicle on a road whether he is the policy-holder himself or is a person permitted by the policy-holder to use it. In order to comply with the requirements of the Act, it is not however necessary for the policy to cover liability in respect of the death of or bodily injury to all persons. In particular, it is not necessary to cover "passengers" unless they are being carried "for hire or reward" or "by reason of or in pursuance of a contract of employment."

There is no evidence that Mr. Brar was being carried for hire or reward or by reason of his employment. The particular risk which gave rise to the present case was not, therefore, one which was compulsorily required to be covered by the statute governing the insurance against third party risks. The case has to be decided purely on the basis of the terms of the insurance policy interpreted in accordance with the general law of contract.

The insured stated in evidence that he could save part of the premium by insuring the car for his own personal use only but that he knew that the car would have to be used by others and preferred to pay the extra premium. The exact words used by him were. "I contemplated plaintiff 2 to be one of the authorised drivers. Second plaintiff was driving with my consent and permission when the car was involved in an accident on 31/1/61." This evidence is uncontradicted.

When the accident took place, the matter was reported to the insurers. A claim form was completed and submitted by the insured. The summons in the civil suit filed by Mr. Brar was handed to the insurers. Messrs. Verjee & Verjee who acted for the claimant in that case were appointed and paid by the insurers. In effect, the insurers had taken over and conducted the defence as they thought best. This they were entitled to do under the terms of the policy, not otherwise. When judgment was passed against the claimant, the insurers gave notice of appeal but then decided, without consulting the claimant or the insured, not to lodge the appeal. Later, it appears the insurers came to the conclusion that the claimant had no right to the indemnity provided for in the policy. Nevertheless, they offered to pay Mr. Brar fifty per cent. of the value of his judgment in full and final settlement. This offer was not accepted.

I find the following facts proved:

(i) The insurer had agreed to indemnify the insured against liability in terms of the policy.

(ii) The insurer had agreed to indemnify any authorised driver driving with the permission of the insured.

(iii) The claimant was an authorised driver in terms of the policy.

(iv) The insured had foregone a reduction in the premium by asking for the extension of indemnity to authorised drivers. This constituted consideration for the extension.

Two case of indemnity might be distinguished here. First an insurance company might agree to indemnify an insured against liability to third parties incurred by him while the car was driven either by himself or by somebody authorised by him. In this case, no legal difficulty would arise and the insured would be entitled to sue for indemnity.

Secondly, an insurance company might agree to indemnify the insured as well as his authorised driver as two distinct individuals or one individual and a class of individuals. This is the position in the present case. There is no question but that the insurers agreed to indemnify the authorised driver. In other words, indemnity was promised for consideration and I am satisfied that the circumstances in which the policy contemplated the provision of indemnity have arisen. The insurers, if they paid, would be carrying out their obligation under the contract and would not be infringing any principle of law or morals.

The only question is whether the authorised driver (that is, the claimant) can enforce by court action the right which the insured purchased or thought he purchased for him from the insurers.

Doubts on this matter appear to have arisen in England about a hundred years ago in view of some old decisions which supported the proposition that a stranger to the contract and consideration may maintain an action upon the contract if he stands in such a relationship to the contracting party that it may be considered that the contract was made for his benefit and that, therefore, he may be considered to be a party. Tweddle v. Atkinson (1) put these doubts at rest by deciding that a stranger to the consideration cannot sue on a contract. This view was confirmed by Dunlop v. Selfridge (2).

Referring to the principle established by these two cases, Denning, L.J. (as he then was) stated in Smith v. River Douglas Catchment Board (3) ([1949] 2 K.B. at p. 514) in his usual forthright manner:

"It has never been able entirely to supplant another principle whose roots go much deeper. I mean the principle that a man who makes a deliberate promise which is intended to be binding, that is to say, under seal or for good consideration, must keep his promise, and the court will hold him to it. not only at the suit of the party who gave the consideration, but also at the suit of one who was not a party to the contract, provided that it was made for his benefit and that he has a sufficient interest to entitle him to enforce it, subject always, of course, to any defences that may be open on merits."

This view was rejected by the House of Lords in Scruttons v. Midland Silicones (4) by majority, Lord Denning himself being the minority. He valiantly and vigorously protested against a principle which although now called "fundamental", was finally introduced into English law only in the nineteenth century.

Lord Simonds, however, pointed out in the Scruttons case (4) (at p. 7) that the principle in question is so well established that it can be changed only by legislation. Therefore, I reluctantly come to the conclusion that what Lord Denning propounded in the Smith case (3), is not what the law is in England but what it should be.

Counsel for the plaintiffs has also argued that at the date this contract was formed the Indian Contract Act applied to this country and that under that Act the position is different because the definition of the term "consideration" in it is wider. That definition reads as follows:

"When at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing, something, such act or abstinence or promise is called a consideration for the promise."

Under this definition it is not necessary that consideration must move from the promisee because it can come from "any other person". This certainly makes the definition wider than that in English law but is not of any assistance in the present case because, here, the consideration did in fact, move from the promisee (Mr. Tarlok Singh Nayar the first plaintiff). This definition would have been of help if the consideration had moved from another person. In any case the definition disposes of only one of the principles of English law, namely that consideration must move from the promisee.

There is another principle of English law, namely that only a party to a contract can sue on it. This has not been cut out by the definition of "consideration". As is clear from the wording of the preamble, the Indian Contract Act is not a complete code of the law of contract and there is room for importing into it principles on subjects not covered by it. See "Indian Contract Act" by Pollock and Mulla (8th Edn., p. 6). The principle that a stranger to a contract cannot sue on it had been established nine years (by the Tweddle case (1), supra) when the contract Act was enacted and if it had been intended that it should not be extended to India, the legislature would have said so in the same way as it made its intention clear in regard to the twin principle that consideration must move from the promisee.

In support of his contention that the Indian law is different from English law not with regard to one only of the two principles but with regard to both, counsel for the plaintiffs has quoted Kshirodebihari Datta v. Mangobinda Panda (5). In that case, a landlord had let certain land to a tenant at an annual rent of Rs. 220. The tenant had given a sub-lease to a sub-tenant at the increased annual rent of Rs. 520. The sub-lease had provided that the sub-tenant was to pay Rs. 220 every year to the landlord and the balance of Rs. 300 to the tenant handing to him at the same time the landlord's receipt for Rs. 220 and the tenant was, then, to give the sub-tenant a receipt for the total sum of Rs. 520. The sub-tenant paid for some years in accordance with his agreement but then defaulted. The usufructuary mortgagee of the landlord sued the tenant, and on the latter's application the sub-tenant was added as a defendant.

The case went up to the Calcutta High Court on second appeal: Lort-Williams, J., argued on the lines on which Lord Denning was to argue fifteen years later in the Smith case (3) and twenty-seven years later in the Scrutton's case (4). He discussed many cases both Indian and English (including Tweddle v. Atkinson (1) and Dunlop v. Selfridge (2)). He showed how courts had allowed third parties to sue by introducing into contracts the idea of a trust that is by holding that the promise had contracted as trustee for the third party. He then came to the conclusion: “In England it has often been by fiction that old rules have been avoided, discredited, and finally broken down . . . There seems to be no similar necessity for importing these anomalies into India.” He gave judgment for the plaintiff against the sub-tenant and made certain other orders which do not concern us here. The other judge, Ghore, J., was “inclined to hold that the plaintiff should be given a decree against” the tenant and that the tenant “should be left to sue” the sub-tenant “in a separate suit”. That would have been perfectly in accordance with the principles of English law of contract but he agreed with Lort-Williams, J., because any suit that the tenant brought against the sub-tenant would now have been time-barred.

The true position, as I understand it, however, is that the Kshirodebihari Datta case (5) is not good law. See Pollock & Mulla (op. cit., pp. 21-2). It is directly opposed to the Privy Council case of Jumna Das v. Ram Autar Pande (6). The short judgment of the Board in that case was as follows: “This is a perfectly plain case. The action is brought by a mortgagee to enforce against a purchaser of the mortgaged property an undertaking that he entered into with his vendor. The mortgagee has no right to avail himself of that. He was no party to the sale. The purchaser entered into no contract with him, and the purchaser is not personally bound to pay the mortgage debt . . .”

Crompton, J., in the Tweddle case (1) raised the point of absence of mutuality between the promisor and the third party. He said: “It would be a monstrous proposition to say that a person was a party to the contract for the purpose of suing upon it for his own advantage and not a party to it for the purpose of being sued.” If the insurers in the present case, tried to sue the claimant upon the contract of insurance would they have an answer to the objection that there was no privity of contract between them? If not, how can the claimant sue at all?

It is clear, therefore, that a stranger to a contract cannot sue on it either in India or in England or in Kenya. There is an exception to this general rule in England in so far as motor insurance is concerned. Section 206(3) of the Road Traffic Act, 1960, provides: “Notwithstanding anything in any enactment, a person issuing a policy of insurance under s. 203 of this Act shall be liable to indemnify the persons or classes of persons specified in the policy in respect of any liability which the policy purports to cover in the case of those persons or classes of persons.” This provision was first introduced into English law as s. 36(4) of the Road Traffic Act of 1930. It means that an authorised driver of the insured can sue the insurer for indemnity if the policy provides for such indemnity. No provision like this exists in Kenya. In England, there is also an agreement between the Motor Insurers’ Bureau and the Minister of Transport under which the Bureau indemnifies authorised drivers in cases not otherwise covered subject to certain conditions. But both s. 206(3) of the 1960 Act and the agreement apply, it seems, to cases of compulsorily insurable risks. The liability arising out of the carriage of passengers without “hire or reward” is not such a risk and the claimant’s case would not have an easy answer even in England. See s. 5, proviso (ii), of our Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405) and the case of Coward v. Motor Insurers Bureau (7).

In the present case, the insured was a party to the contract. He paid the premium. He was entitled to a reduction in the premium if the car was to be driven by himself alone. But he deliberately decided not to take this rebate because he contemplated the use of the car by the claimant as one of his authorised drivers. Therefore, whatever the position of the claimant, why cannot the insured himself sue? He is in effect saying to the insures: "You took premium from me for indemnifying both myself and my authorised driver in the event of an accident. I now ask you to indemnify my authorised driver." If the insurers reply – as indeed they do – that the claimant will not be indemnified because he was not a party to the contract, are the insurers not committing a breach of their contract with the insured? Is their action not a fraud on the insured because he was made to part with money on the understanding that the insurers would indemnify the authorised driver of the claimant? If the insurers were not to indemnify the authorised driver, why did they take the extra premium?

I think the insured is within his rights in bringing this action, in so far at least as the prayer for a declaration is concerned. As a party to the contract, he is entitled to ask that the insurers having received good consideration must carry out their promise to indemnify his authorised driver against liability. That is one aspect of the matter.

The other aspect is emphasised by such cases as Williams v. Baltic Insurance Association (8). There, the plaintiff had taken out a policy of insurance by which the insurers agreed to indemnify him "against all sums for which the insured (or any licensed personal friend or relative of the insured while driving the car with the insured's general knowledge and consent) shall become legally liable in compensation for . . . accidental bodily injury caused to any person." The plaintiff's sister (who was a licensed driver) was driving the car with his consent when personal injuries were caused to third persons who recovered damages against her. The plaintiff claimed that the insurers were liable under the policy to indemnify his sister and to pay to her or to him as trustee for her the amount of those damages.

The clause in the policy, although differently worded, is to the same effect as the clauses in the policy in the present case. In fact, in the present case the policy is more clearly worded in that the promises to indemnify the insured and his authorised driver are contained in two separate paragraphs. There was room in the Williams case (8), for the argument – which was put forward – that the agreement was to indemnify only the insured against liability incurred by him when he was driving himself or when one of his authorised drivers was driving. That argument was rejected. In the present case, there is no room for such an argument and it was not put forward, learned counsel confining himself – I think wisely – to the more fundamental argument that a third party could not claim under the contract.

Roche, J., giving judgment in the Williams case (8) stated: "I hold without the slightest hesitation that the plain meaning of the clause is that it covers the very thing that happened." In one of the last paragraphs of the judgment, the learned judge said this:

“The general argument that Mr. Bransby Williams cannot recover for Miss Bransby Williams because the latter cannot recover for herself, is based upon this, that the insured is Mr. Bransby Williams. That, I think is begging the question. Mr. Bransby Williams is the insured in the sense that he is the person who effected the insurance but it is an insurance for himself and the other persons mentioned in cl. 2, and accordingly, the company’s contract is to indemnify all such persons in the event of those things happening against which the insurance is effected. The principle of Waters v. Monarch Fire and Life Assurance Co. in that matter also applies here.”

In the result, the award made by arbitrators in favour of the insured was allowed to stand.

The facts in the Williams case (8) are almost the same as in the present case. There, the authorised driver was the insured’s sister. Here, it was the sister’s husband. There the injured third party had obtained a judgment against the sister. Here the injured third party has obtained a judgment against the sister’s husband. The insured’s evidence in the present case, which is uncontradicted, is this: “I approached the agents of defendant. I took out a policy to cover myself and any driver driving with my permission. I expected other people to drive. There was a suggestion that if I was to be the only driver the premium would be less. I contemplated the second plaintiff to be one of the authorised drivers. Second plaintiff was driving with my consent and permission when the car was involved in an accident on 31/1/61.”

The conclusion at which Roche, J., arrived in 1924 seems inescapable in the present case. But my attention has been drawn to Vandepitte v. Preferred Accident Insurance Corporation (9) which was a Privy Council case from British Columbia. There, the injured third party had sued the insurance company direct and their Lordships held that the provisions of s. 24 of the British Columbia Insurance Act, 1925, which applied in that case were not “satisfied by anything but a contract at law, enforceable directly against the insurers by the insured in her own name” ([1933] A.C. at p. 81). In the present case, the insured himself is suing in his own name.

In the Vandepitte case (9), their Lordships referred to the Williams case (8) and distinguished it on the basis of “facts” and “contractual terms”. They did not say it was not good law. In fact, they referred to the principle “that a party to a contract can constitute himself a trustee for a third party of a right under the contract and thus confer such rights enforceable in equity on the third party” ([1933] A.C. at p. 79) but held “that no trusteeship is here made out” (ibid. at p. 81) and stated that there was no evidence that the insured “had any intention to insure anyone but himself” (ibid. p. 78).

In the present case, we have evidence that the insured did want to insure himself as well as his authorised drivers. He had the claimant particularly in mind. He decided to forego, on reduction in premium in order to cover his authorised drivers against liability arising out of accidents.

Counsel for the defendant argued that the Vandepitte case (9) is binding on me and that, because it is inconsistent with the Williams case (8), I am entitled to ignore the latter. With respect to learned counsel, I cannot accept this argument. The Privy Counsel was concerned largely with the provisions of a special statute. It decided that the injured third party had no right to sue on the contract or under the terms of the statute in question and also that no trust had been made out. Admittedly, it also stated that Roche, J., in the Williams case (8) did not make it clear whether he "treated the driver of the car as directly insured or as a cestui que trust" but that cannot make the decision wrong. The editors of the Law Reports, [1924] 2 K.B., summarised the case by saying that the insurers were liable to pay to the insured "as trustee for his sister". 22 Halsbury's Laws (3rd Edn.) p. 360, states that: "it is possible to show that the assured, when making the contract, intended to act as agent or trustee of the permitted driver. The authority quoted is the Vandepitte case (9) and the reader is asked to compare with it the Williams case (8) "where enforcement by the assured on behalf of the permitted driver was allowed" – Note (i).

I do not think it matters at all whether or not the learned judge named the branch of law under which he acted. I think his decision is based on the principles of equity. What is important, however, is that it has never to my knowledge been suggested the case is not, or is no longer, good law. It is referred to nine times in 22 Halsbury's Laws (3rd Edn.), ten times in MacGillivray on Insurance Law (5th Edn.), twice in the 1950 edition of vol. 12 of the English and Empire Digest, and twice in the 1963 edition of vol. 29 of the Digest.

There is another group of decisions to the - same effect as that in the Williams case (8). In each case there was a contract from which a third party stood to benefit and in each case one of the parties was permitted to sue in trust for the third party. These may now be briefly considered.

In Colyear v. The Countess Mulgrave (10) it was decided that where two persons, for valuable consideration as between themselves, covenant to do some act for the benefit of a mere stranger, that stranger cannot enforce the covenant against the two, though either of the two might do so against the other. Seven years later another case was decided. That was the case of Davenport v. Bishop (11) in which B had agreed with A, in a settlement made in contemplation of marriage with A, to convey any property she might get to such uses and purposes as she might appoint, and in default of appointment, to herself for life, with remainder to A for life, with remainder to the children of B, and if there be no children to the use of M.L. B did get property but made no appointment so that the property went to her heir at law C. A sued C and the trustees of the settlement. It was held that the covenant must be carried into execution in to and that the ultimate limitation to M.L., though a stranger to the settlement, must also take effect.

A case more directly to the point was Leopold Walford v. Les Affréteurs Réunis Société Anonyme (12). There, a charterparty entered into between the shipowners and the charterers provided for the payment of a commission to brokers. The brokers, Leopold Walford, who were not a party to the contract, sued the shipowners for their commission. The difficulty caused by the principle that a non-party cannot sue on a contract was got over by treating the case as though it had been brought by the charterers (the Lubricating Fuel Oils Co. Ltd.) and then it was held that the charterers were entitled to sue for commission as trustees for the brokers. Pickford, L.J., relied on Robertson v. Wait (13), West v. Houghton (14) and The Nuova Raffachina (15). He stated: the Robertson case (13) “has never been disapproved” and “The principle established in that case appears to me to be right”. Bankes, L.J., agreed, adding: “That that is possible, and that the contract inserted in the charterparty between the charterers and the shipowners can be treated as a contract made by the charterers in the interests of the brokers and on which they, the charterers, can sue as trustees for the brokers, must be taken to be established law since the decision in Robertson v. Wait (13), a decision which has never been questioned.” Scrutton, L.J., referred to the usual objection that the brokers were not a party to the contract and stated: “That objection, which has existed so long as I have been at the Bar, has always been avoided, on the authority of Robertson v. Wait (13), by the charterers suing as trustees for the brokers or by the shipowners not taking the objection that the brokers were not parties to the charterparty. In this action it was agreed that it should be treated as though the charterers were suing. Robertson v. Wait (13) has never, so far as I know, been questioned.”

It should be observed that this last, namely the Walford case (12), was decided nearly sixty years after the Tweddle case (1). It was a Court of Appeal judgment and none of the three judges had any hesitation in saying that one of the parties could sue on behalf of the third party.

Counsel for the plaintiffs on the second day of hearing has also argued that the insurers are estopped from denying that they are liable to the claimant on the contract because they took out of his hands the defence of the civil case filed against him by Mr. Brar. This, counsel stated, was done under the terms of the policy: it could not be done otherwise. They employed their own lawyer and conducted the defence as they liked and in effect deprived him of the right and opportunity of defending himself as he might be advised in his own interest, as distinct from the interest of the insurance company.

In my opinion, all that the conduct of the insurers means is that at one stage they thought they were liable on the policy. Later, on reconsideration or legal advice they came to the conclusion that they were not in fact liable. Their conduct is, thus, explainable on the basis that their understanding of their legal rights was different when they undertook to defend the claimant. Their earlier conduct amounted in effect to an admission on a point of law and this does not create estoppel – Muthuswami v. Loganatha (16). I must, therefore, hold against counsel on this point. Other grounds on which the argument from estoppel (so far at least as the insured is concerned) would fail are those mentioned by the Privy Council in Vandepitte v. Preferred Accident Assurance Corporation (9) where it was held that, in circumstances similar to those in this case, the insurers were not estopped from denying liability even to the authorised driver whose defence the insurers had undertaken.

In the result, I find that the insured entered into the contract both on his own behalf and on behalf of his authorised drivers, particularly the claimant. Under the terms of the policy, the insurers agreed to indemnify against liability both the insured and his authorised drivers which class included the claimant. The insured is entitled to maintain this suit either as a party to the contract or as trustee for the claimant. The claimant himself could not sue on the contract but as a cestui que trust he could sue through his trustee, the insured, or direct if the trustee refused, in which event he would have to make him a party to the suit as a defendant. Since the trustee is a plaintiff, the question of the claimant's right to sue on the basis of the trust does not arise.

I, therefore, grant the insured the declaration he seeks namely that the insurers are bound to indemnify him or the claimant or both against all liability whether in respect of damages or costs or interest arising out of the accident on January 1, 1961 in which the passenger Gurdial Singh Brar was injured.

I also enter judgment for the insured (Mr. Tarlok Singh Nayar) as trustee for the claimant (Mr. Inderpal Singh) for such sum or sums as may be payable by the claimant to the plaintiff and to his co-defendants (either as damages or as costs or interest) in Civil Case No. 711 of 1962.

The plaintiffs will have the costs of this action. I grant the plaintiffs the necessary certificate for two Counsel.

Declaration as prayed. Judgment for the plaintiffs as prayed.

For the plaintiff:

Shah & Shah, Nairobi

Mackie Robertson Q.C., Ramnik Shah and K. C. Gautama

For the defendant:

Robson, Harris & Co., Nairobi

P. J. Wilkinson Q.C., and H. Makhecha